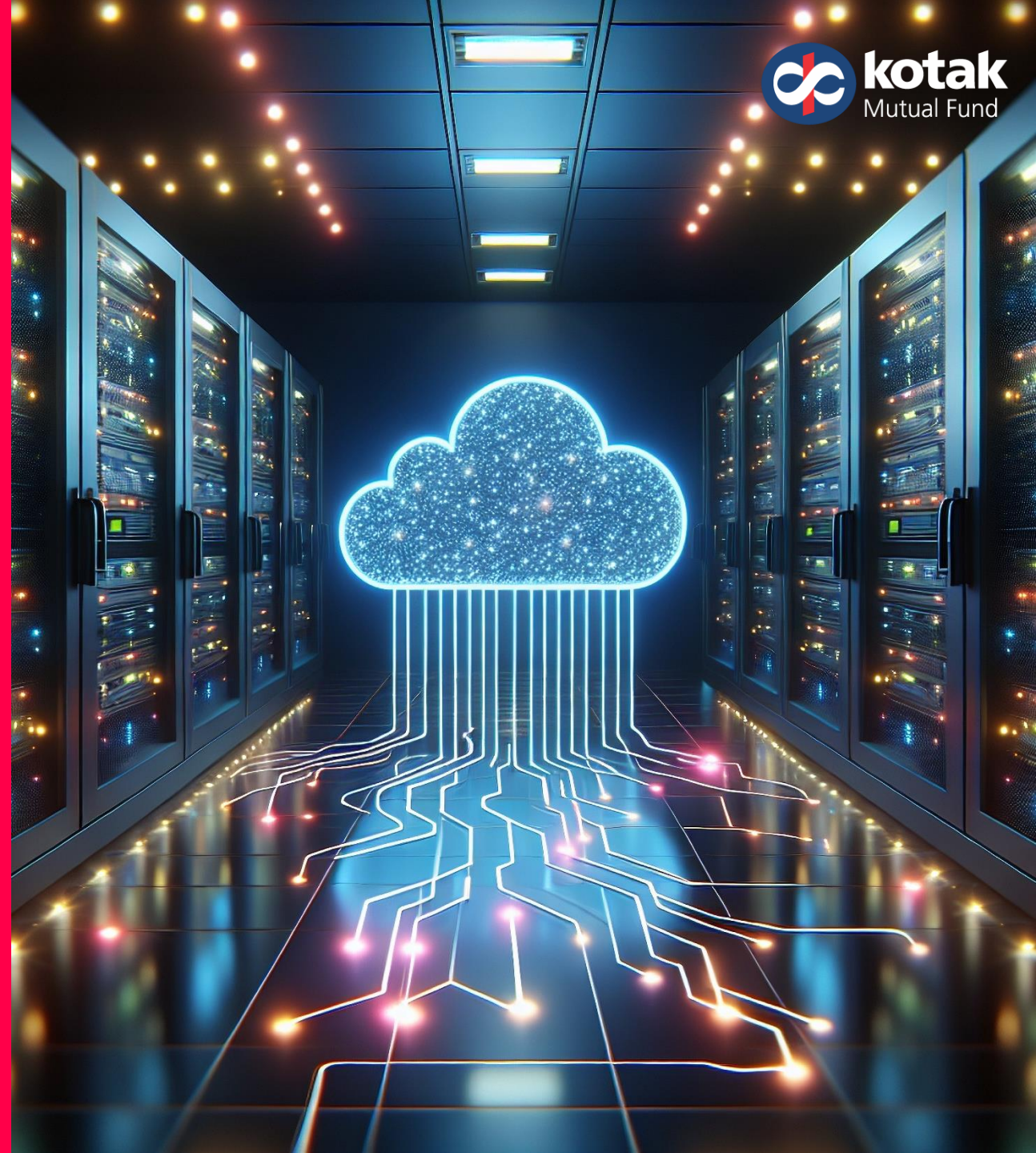


Data Centers in India



Typical architecture of a data center

The below picture depicts the key components housed in a data center

How DCs work?

A data Center is a specialized computer system that combines high-power hardware and availability in a controlled environment for the purpose of storing, safeguarding and processing data on a large scale

Power management and backup systems.

While the generators go through a brief start-up phase, the batteries provide power allowing the system to operate without any interruption

CRAH/PAHU

Maintains proper temperature and humidity for optimal equipment operation

Support Personnel

Professionals in-charge of operation, maintenance and troubleshooting at the data center

Interconnection

Enables communication between different networks and systems inside and outside the data center

Monitoring

Control stations for data centers and building security systems serve as central commands in the data center. All important information is collected through a DCIM (Data Center Infrastructure Management) system and displayed on screens

Server Rooms

Data rooms or server rooms have standard servers and storage units. The racks are usually located in an enclosed space to enable optimal cooling

Heat exchangers

On the roof of the data center, heat exchangers release excess heat from turbo-cooling units

Meet-Me-Rooms

Connectivity is key for data centers. All these connections come together in Meet-Me-Rooms or MMRs, so connections can be made easily and relatively inexpensively. There is always at least one MMR in a data center

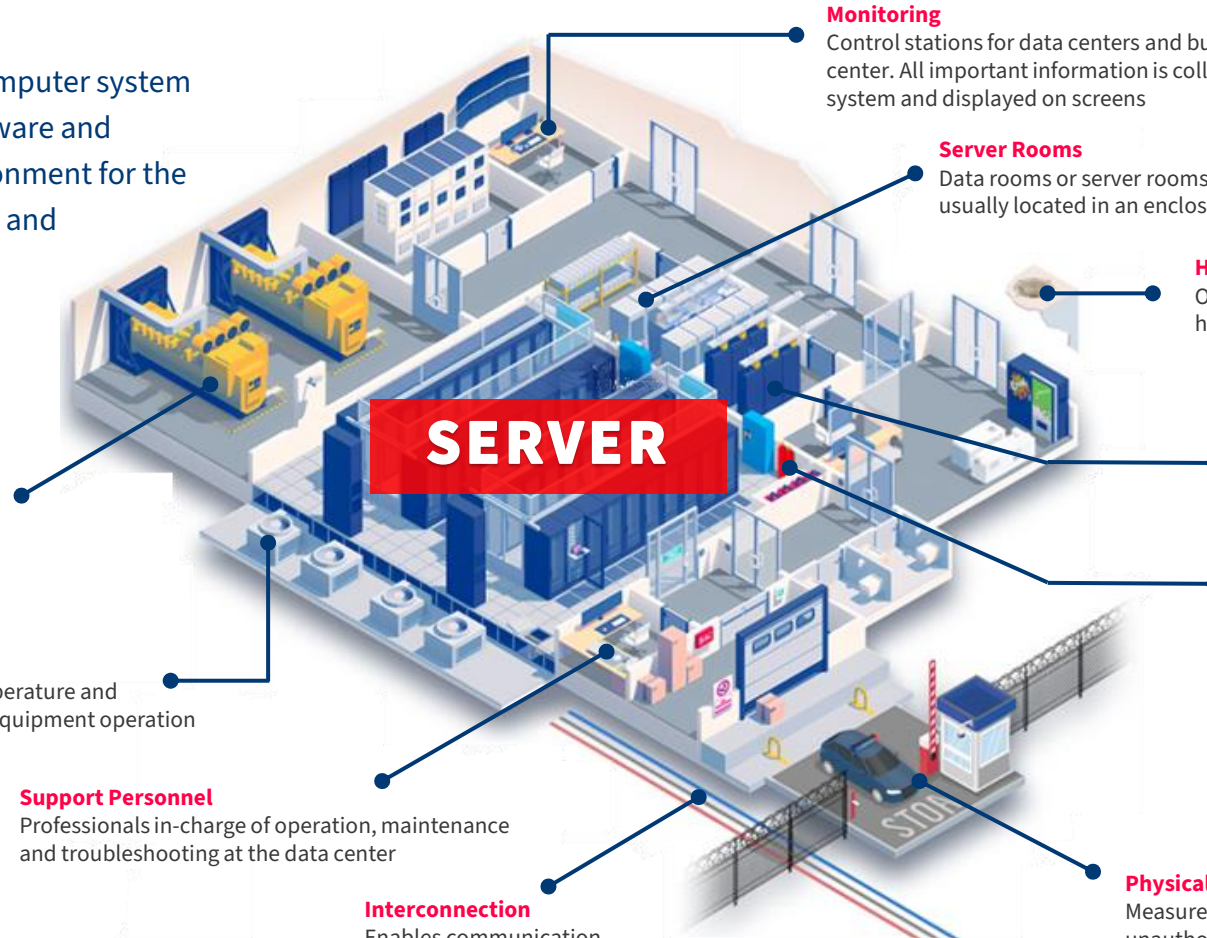


Fire extinction

All server rooms where data is stored are equipped with smoke detection systems that monitor the room 24/7. In the event of a fire, traditional extinguishing systems, such as water or foam, can cause more damage to a data center than fire itself

Physical security

Measures and systems to protect data centers against unauthorized access and physical threats



Global data center market overview

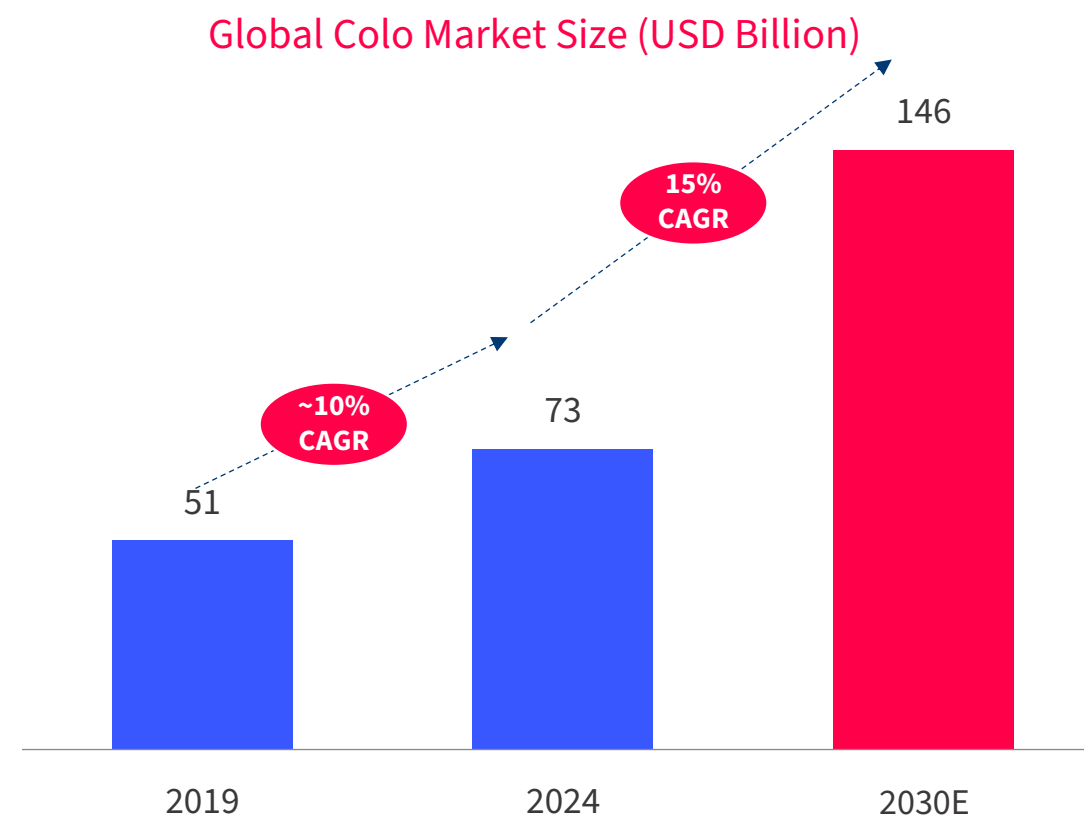
DC capacity across regions grew at 16% CAGR over last five years; APAC capacity growth would be highest over next five years

Global DC Snapshot	2019	2024	2027E	CAGR (2019-2024)	CAGR (2024-2027)
Global Installed Capacity (GW)	20	42	65	16%	15%
- Americas	9	21	29	17%	12%
- APAC	5	12	23	18%	24%
- EMEA	5	10	13	14%	11%
Global Vacancy	12%	8%			

Source: DC Byte, Cushman & Wakefield, JLL, Avendus Spark Estimates

Data as per latest available reports. APAC stands for Asia Pacific . EMEA stands for Europe, Middle East & Africa . Colo stands for Colocation. E stands for Estimates

Over the past 4-5 years, global colocation market grew ~10%; Expect revenue growth to increase to 15% CAGR led by higher colo requirement for AI workload

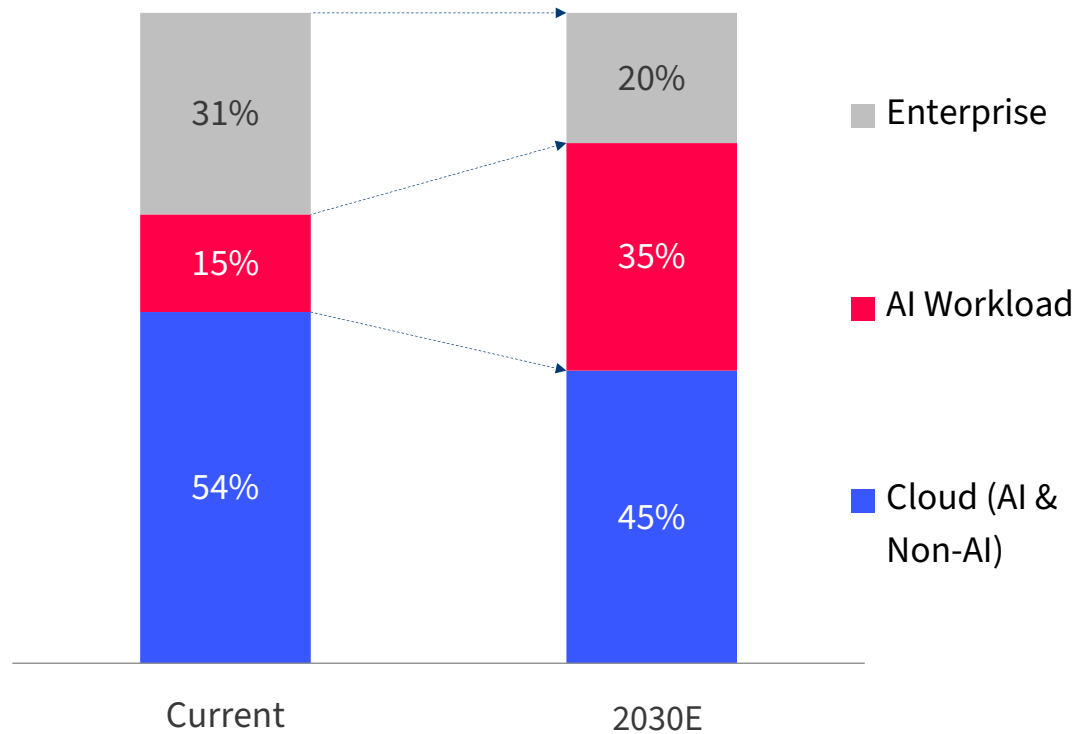


Source: Precedence Research, Structure Research

Shift in workloads & major global players

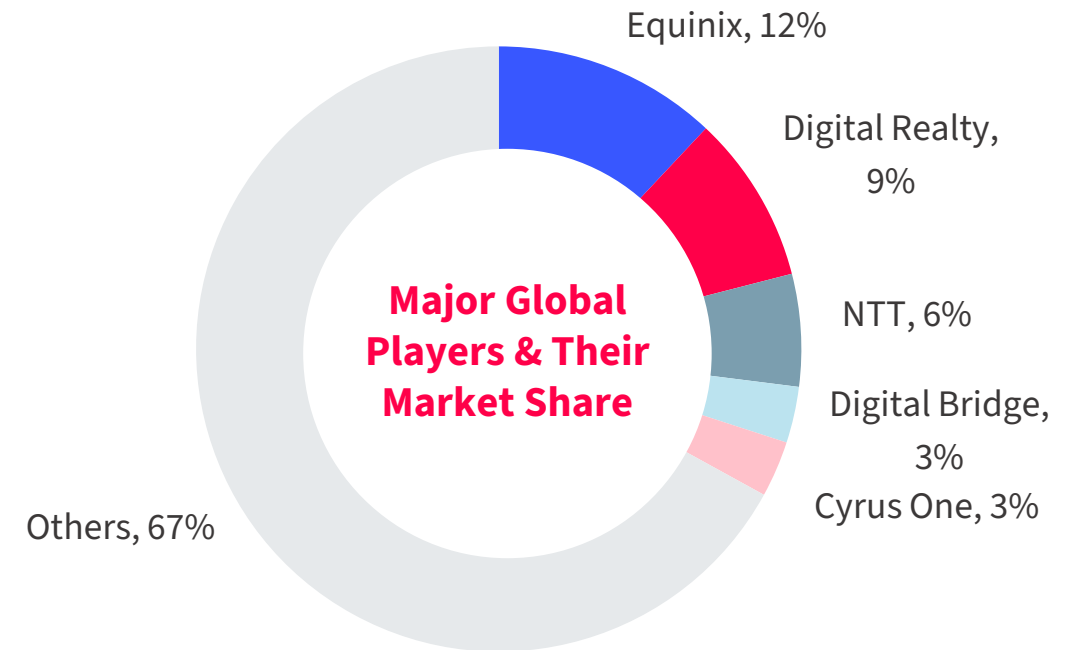
DC capacity to see significant shift with AI workload taking up 35% of capacity versus 15% currently

Shift in DC Workloads Composition



Source: McKinsey

Top 5 players account for ~35% of the global market with Equinix having the highest share of 12%



Source: NTT

NTT :Nippon Telegraph and Telephone Corporation. Disclaimer- The stocks/sectors mentioned in this slide do not constitute any recommendation and Kotak Mahindra Mutual Fund may or may not have any future position in these sectors/stocks. Use of the company brand names does not imply any affiliation with or endorsement by them or any of its holding companies, subsidiaries or affiliates and are used for illustrative purpose only.

Growth drivers for data centers in India

Growth drivers for data centers in India

Data Growth



Traffic and New data Growth

- Mobile subscriber/ internet users' growth
- 5G upgrade from 4G
- Government thrust on digitization of data records



Change in Nature of Data Usage

- New applications require more data usage
- Social media, Streaming, gaming, Ecommerce, payments
- Adoption of AI (3x-5x more computing needs)

Data Accessibility



Accessing on Cloud versus Devices

- Consumers preferring storing data on Cloud than end points
- Enterprise Cloud adoption
- Captive DC to third-party DC



Data Localisation



Low Latency

- Hyperscalars preferring DC locally
- New applications requiring low latency for better adoption



Policy Thrust on Localisation

- DC draft bill 2020, RBI, DPDPA 2023
- Achieving low latency

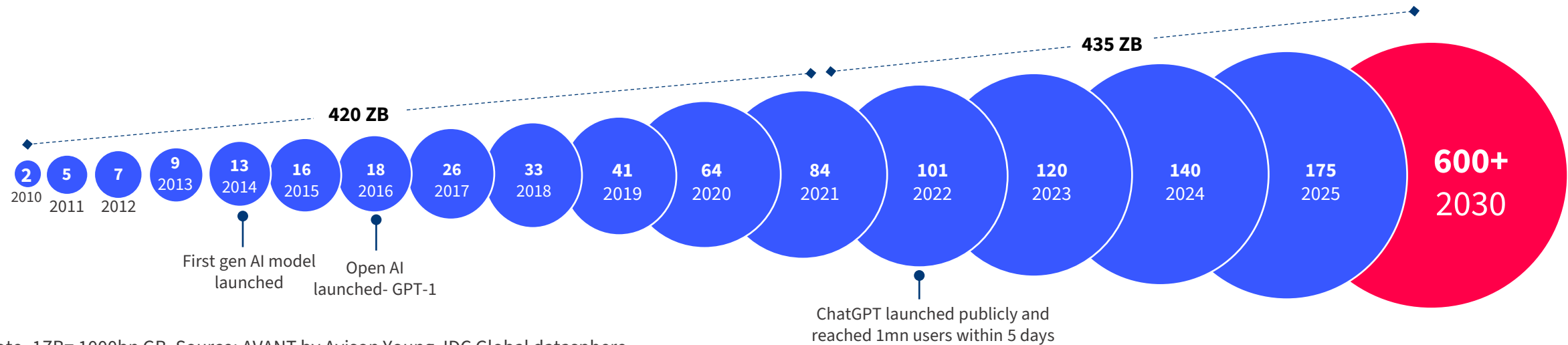


Emerging as Datahub for World

- Lower cost of land and uninterrupted power supply
- Improving capabilities

Worldwide data created is doubling every 3-4 years

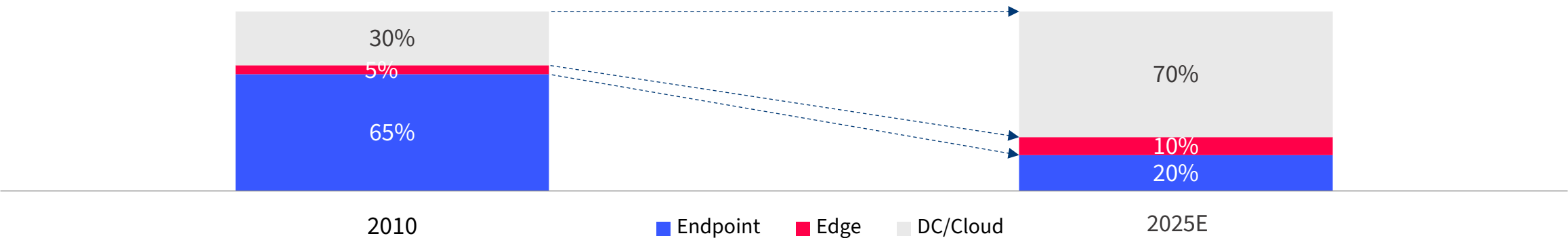
Worldwide Data created, captured or replicated in Zettabytes



Note- 1ZB= 1000bn GB. Source: AVANT by Avison Young, IDC Global datasphere

Share of DC/Cloud for data storage/computing is increasing significantly owing to change in nature of consumption

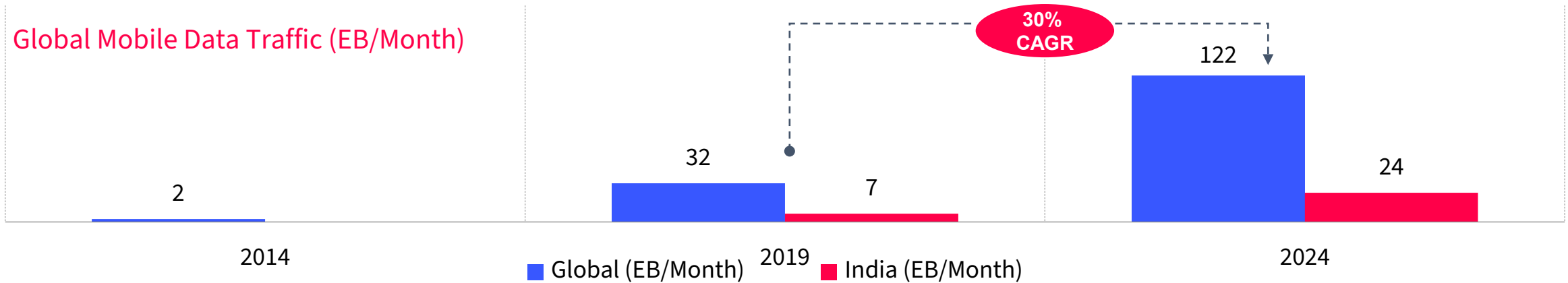
Shift in stored data from Endpoints (local systems) to Data centers and Edge



Source: Seagate, IDC Global datasphere | Details are as per latest data available.

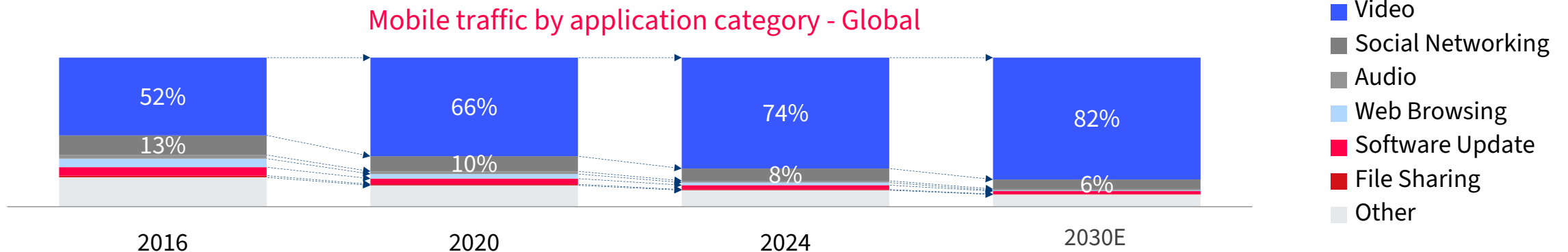
Mobile data consumption is a key driver of DC growth

India & Global mobile data traffic have grown at the same rate over the last 5 years



Note- 1EB= 1billion GB. Source: Ericsson

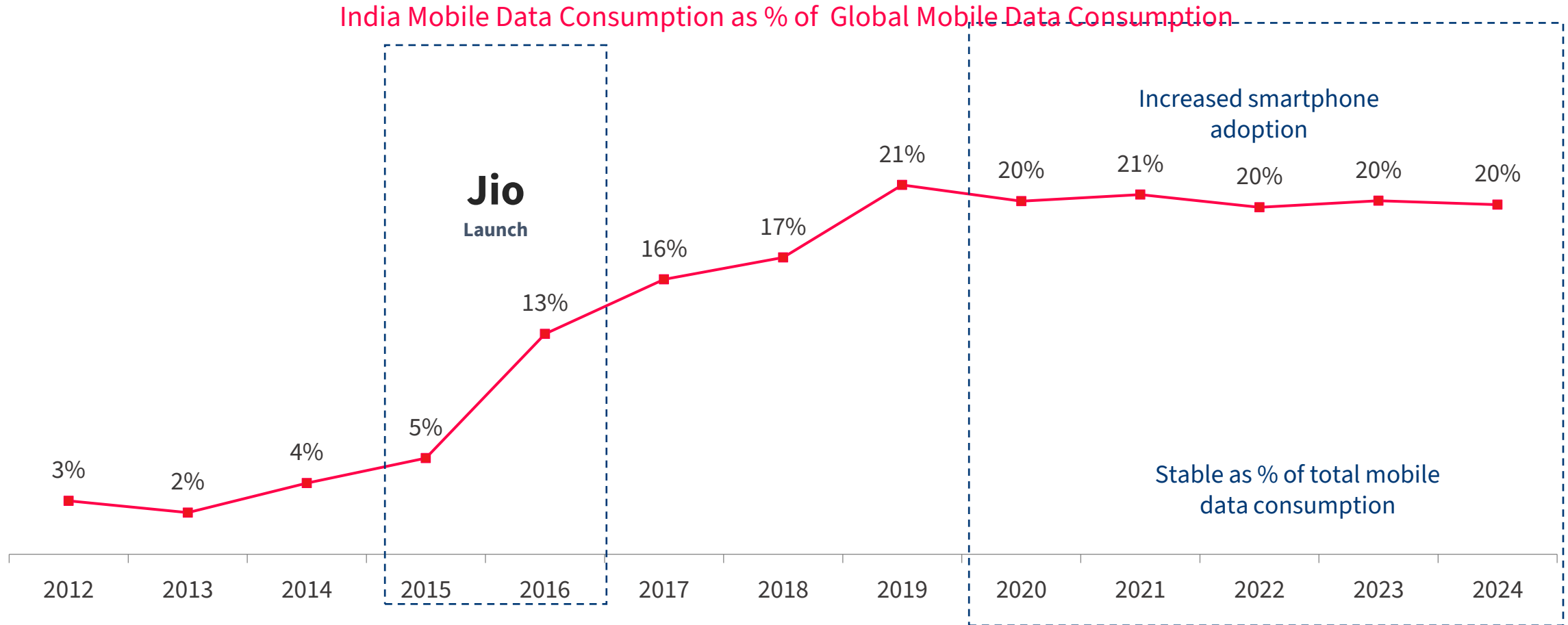
Global mobile traffic increased due to increased contribution from video streaming which rose from sub 50% in 2019 to 74% currently; This is estimated to increase to ~82% by 2030



Source: Ericsson | Details are as per latest data available

India mobile data consumption share over the years

India's mobile data contribution to the global level has been stable for the last 6 years



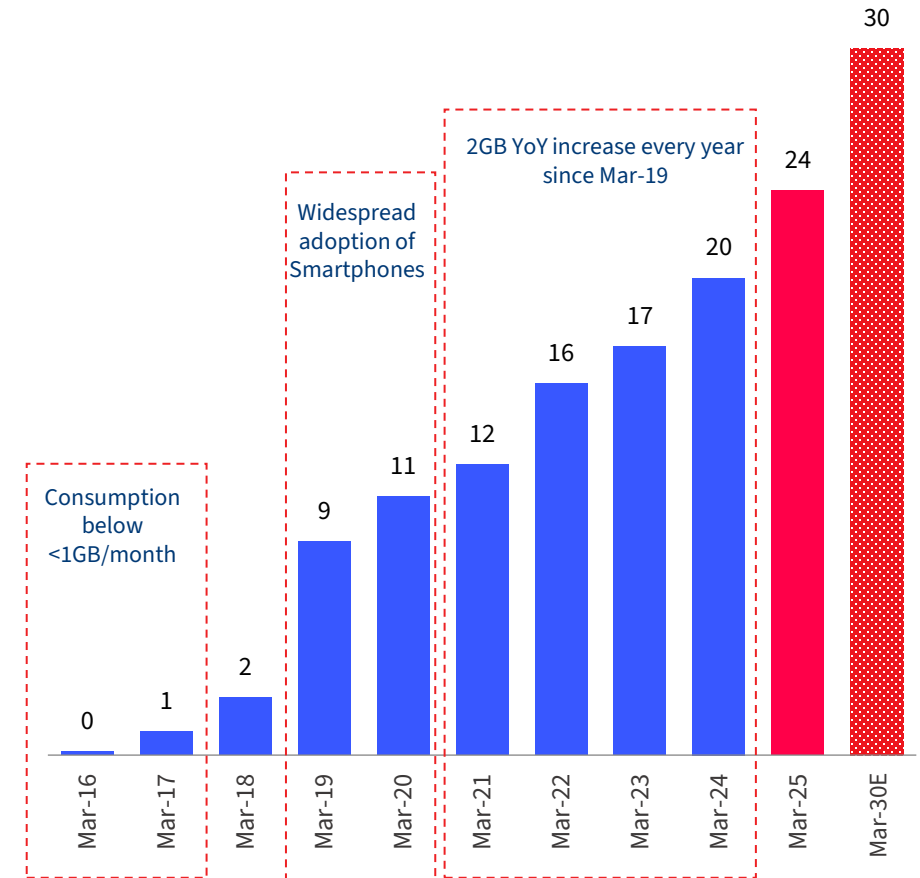
Source: Ericsson | Details are as per latest data available. The stocks/sectors mentioned in this slide do not constitute any recommendation and Kotak Mahindra Mutual Fund may or may not have any future position in these sectors/stocks. Use of the company brand names does not imply any affiliation with or endorsement by them or any of its holding companies, subsidiaries or affiliates and are used for illustrative purpose only.

Scope for higher 5G adoption in India

	USA	China	EU	India	India (2030)	Growth	(CAGR / Change)
Internet User (Mn. People)	317	1,142	486	836	982	3%	↗
Penetration (%)	93%	80%	90%	58%	65%	7%	▲
Smartphones (Mn. People)	289	1,105	471	550	693	4%	↗
Penetration (%)	85%	77%	92%	38%	46%	8%	▲
Mobile data per month per smartphone (GB)	22	25	19	25-30	30-35	5-6%	↗
Mobile data per month (EB)*	8	38	10	24	30-35	9%	↗
5G Penetration	71%	55%	30%	29%	50%	21%	▲
Cost of Data/GB	5.62	0.41	0.79	0.17			

↗ CAGR ▲ Change

Avg Wireless Data Usage/Wireless data subscriber/Month



Source: GSMA, Ericsson, Kantar, CNNIC, IMAI, Avendus Spark Estimates

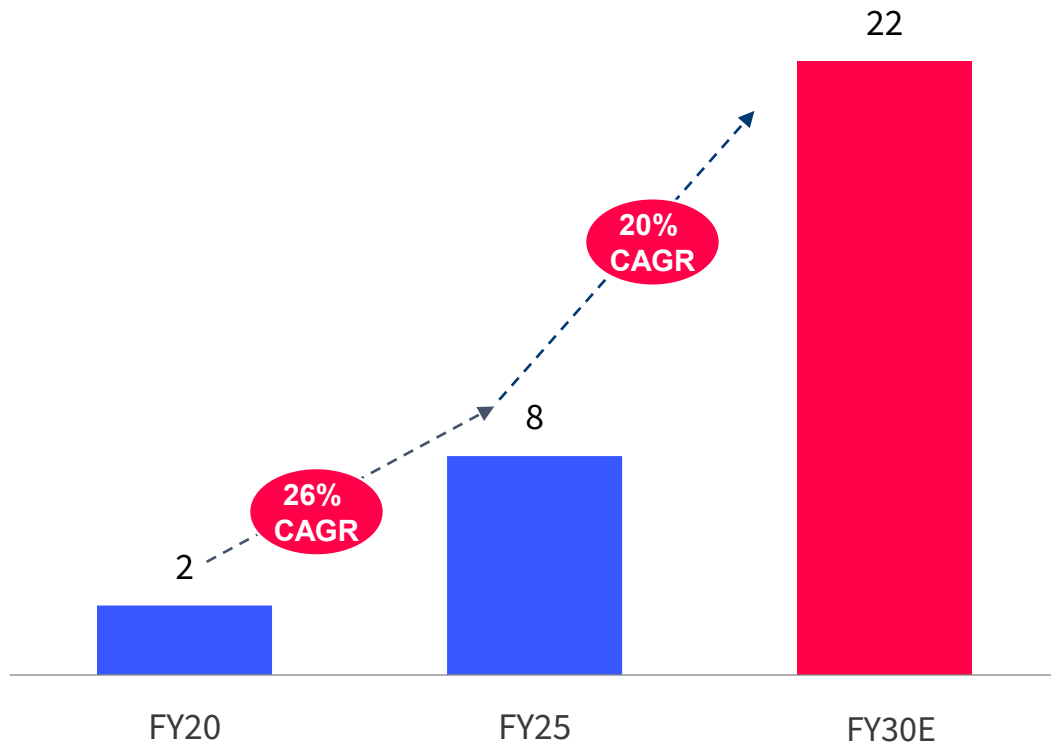
Source: TRAI, Avendus Spark Estimate

* Mobile data per month used for USA is NA, for China it is North East Asia, For EU it is West Europe & for India it is India/Nepal/Bhutan | Details are as per latest data available

India's cloud industry is expected to grow at 20%+ CAGR

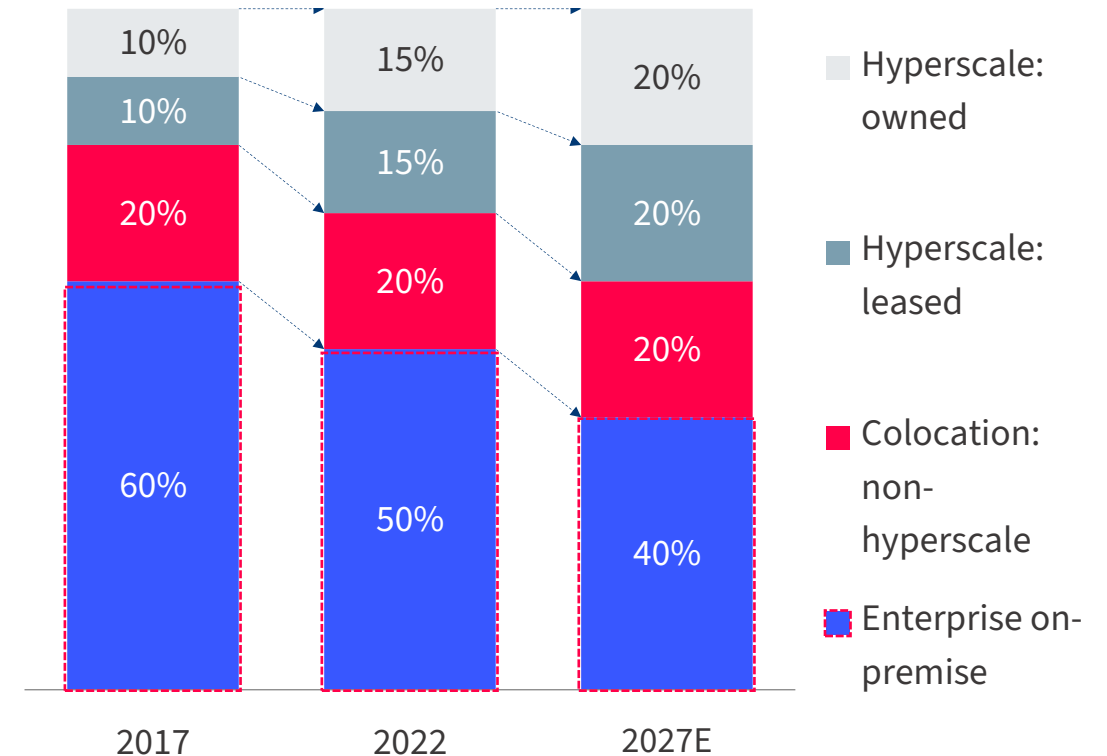
Global cloud industry stands at ~\$920bn, it is expected to grow at 15% (CAGR) until FY30 from FY25, expect catch-up of the India's cloud industry share in the global landscape

India Public Cloud Industry (\$Bn.)



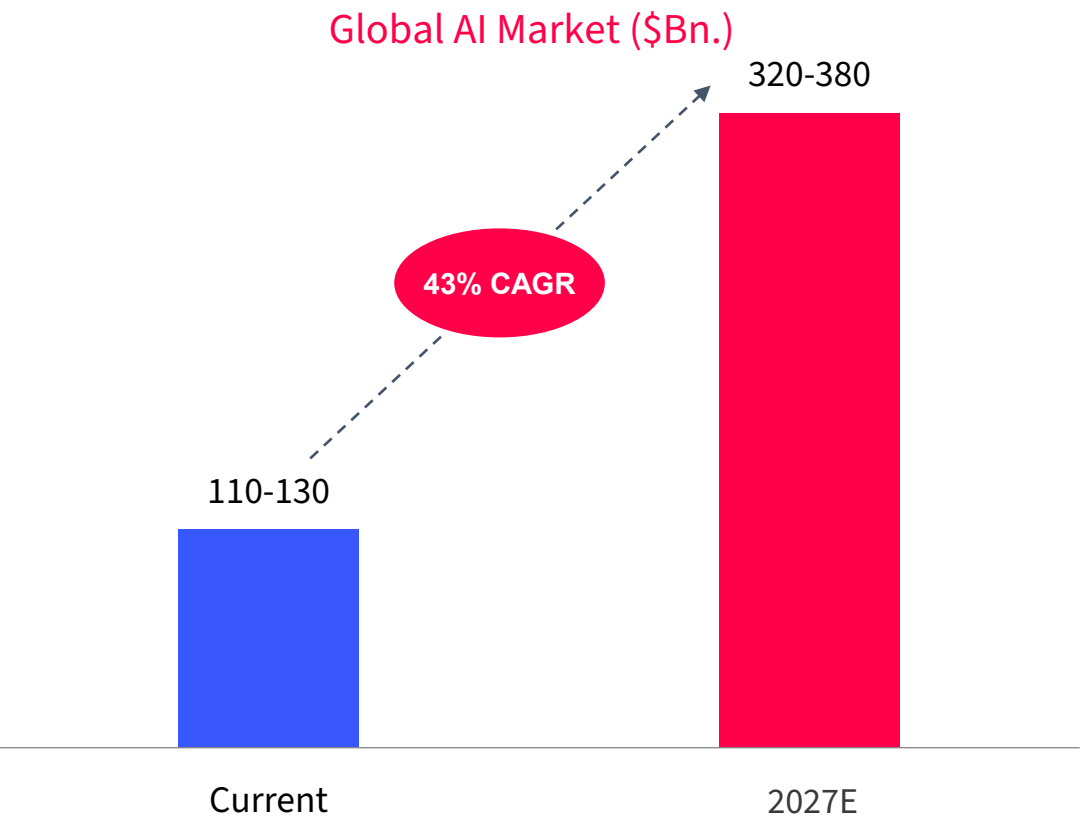
Global data center share is shifting from on-premise to Hyperscaler either in their own DCs or in COLO capacities leased by DCs

Global share of DC capacity across captive and colocation



AI Adoption - a significant driver of data center demand

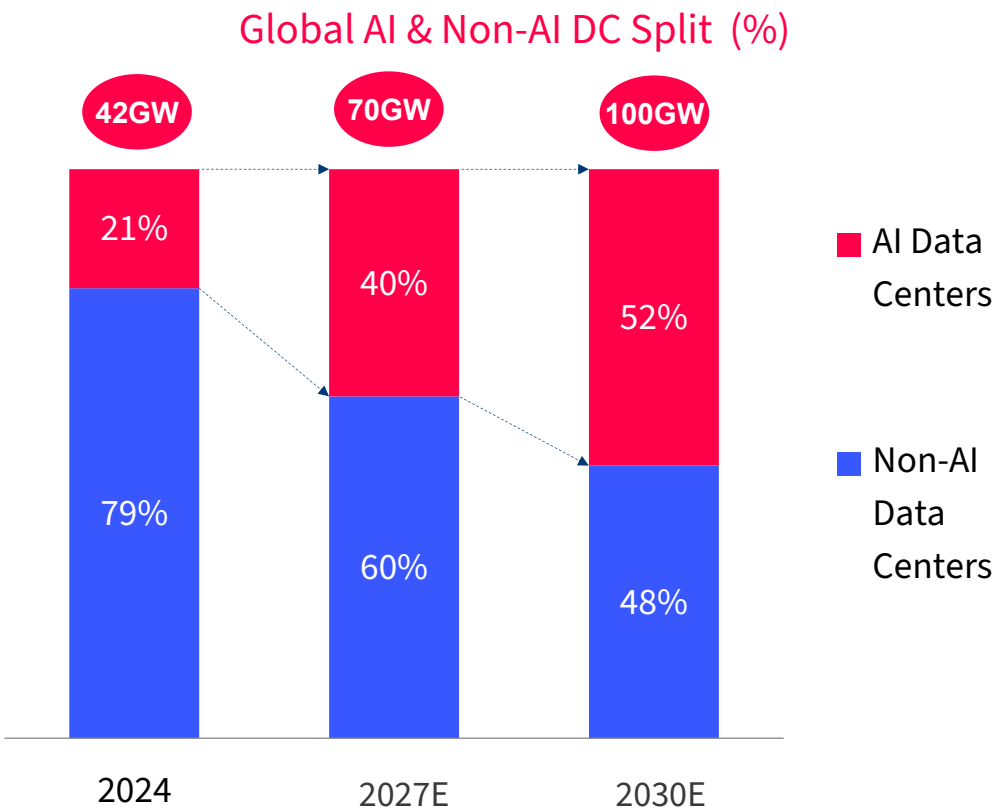
The global AI market is expected to rise from \$110-130bn currently to \$320-380bn i.e., growth of 43% largely led by increased adoption of AI/LLMs



Source: JLL

AI: Artificial Intelligence. LLM: Large Language Model. Details are as per latest data available.

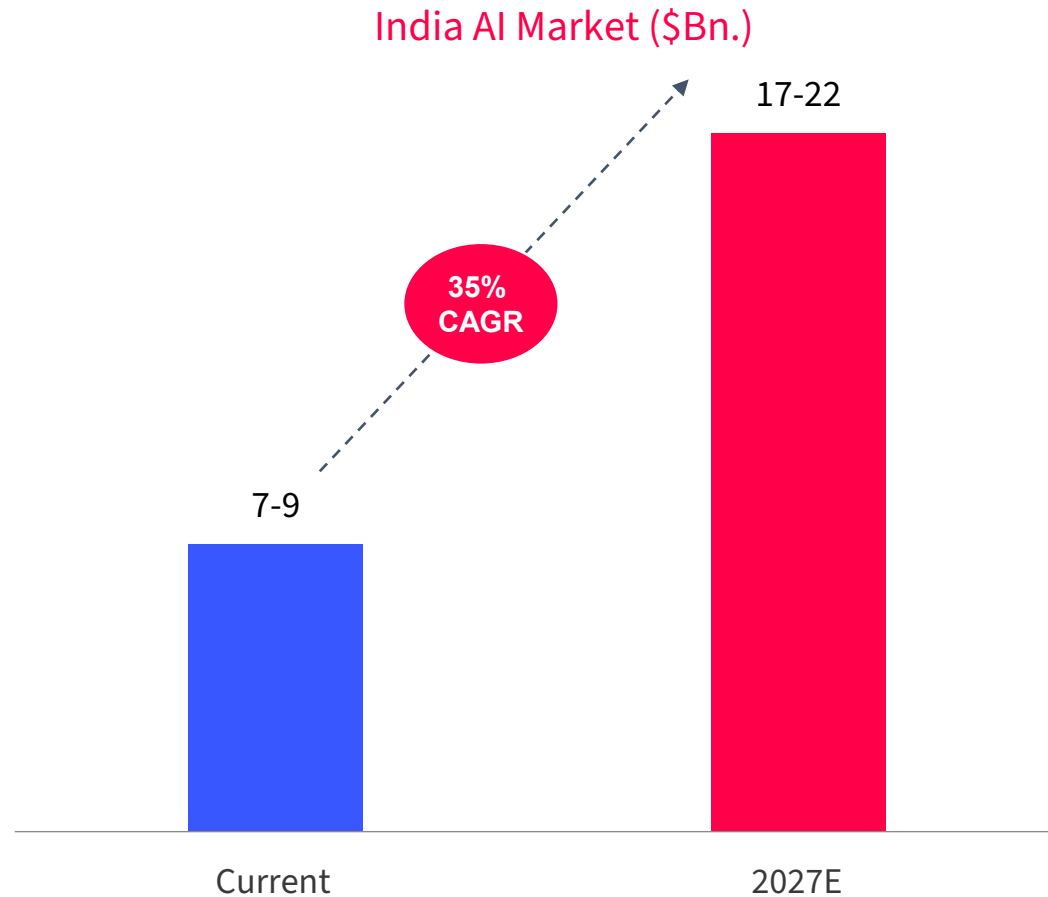
Global data center capacity is expected to grow 70% from 2024 to 2027, with AI data centers growing by 3x over the same period; AI workloads consume 3-5x more compute hence require 2-3x more power



Source: BCG, JLL

India AI adoption – country has the second highest number of ChatGPT users

India AI industry is expected to grow by 35% over the next 3 years versus global growth of 43%

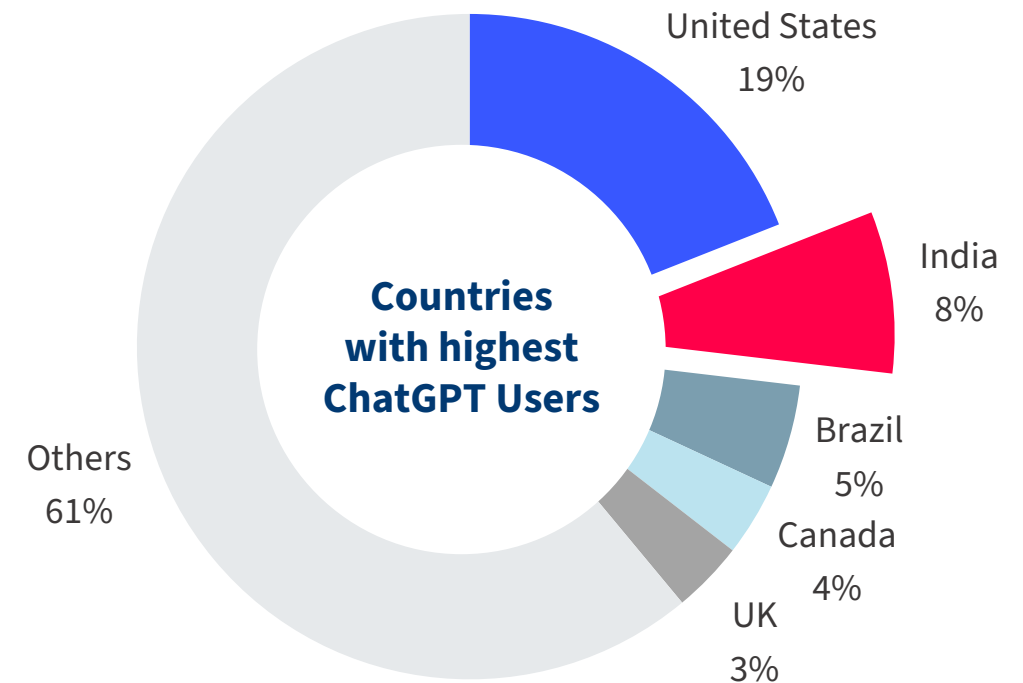


Source: JLL

Data as on Mar-25. Details are as per latest data available

India has the second highest number (8%) of ChatGPT users after USA (19%)

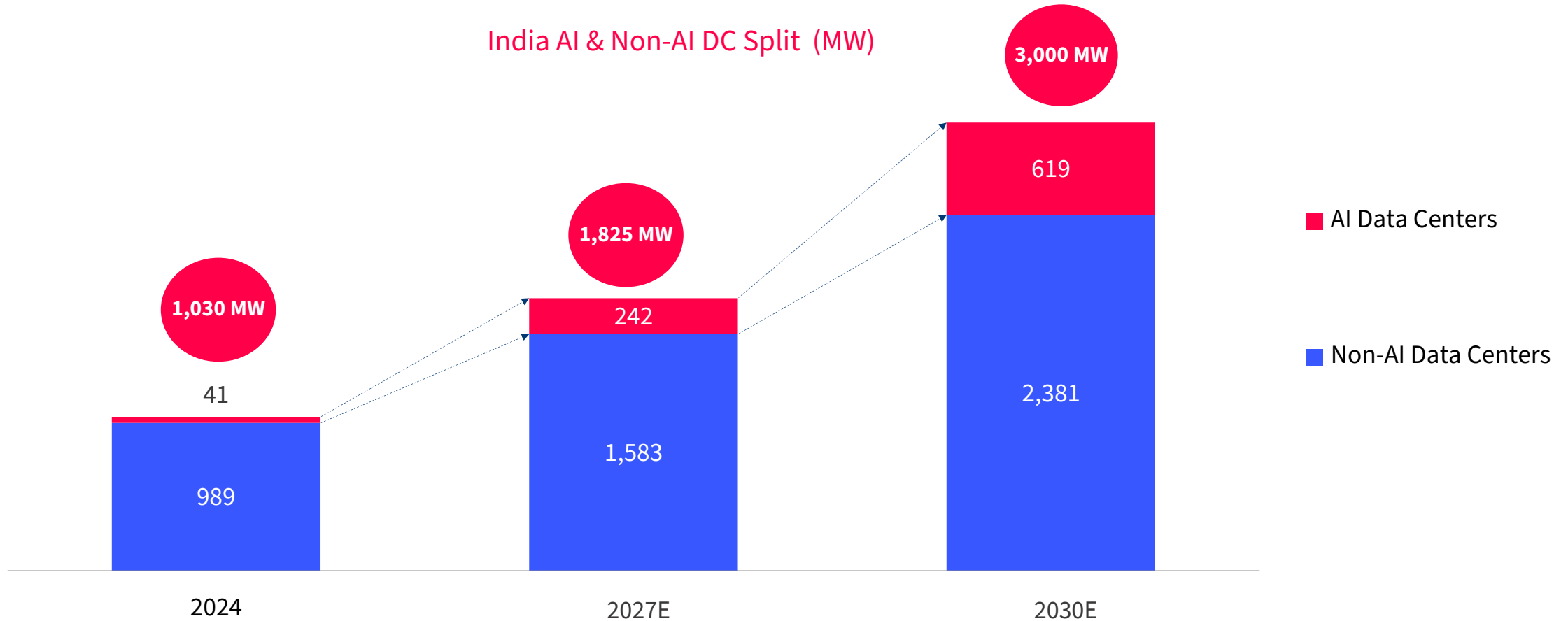
ChatGPT



Source: Reuters

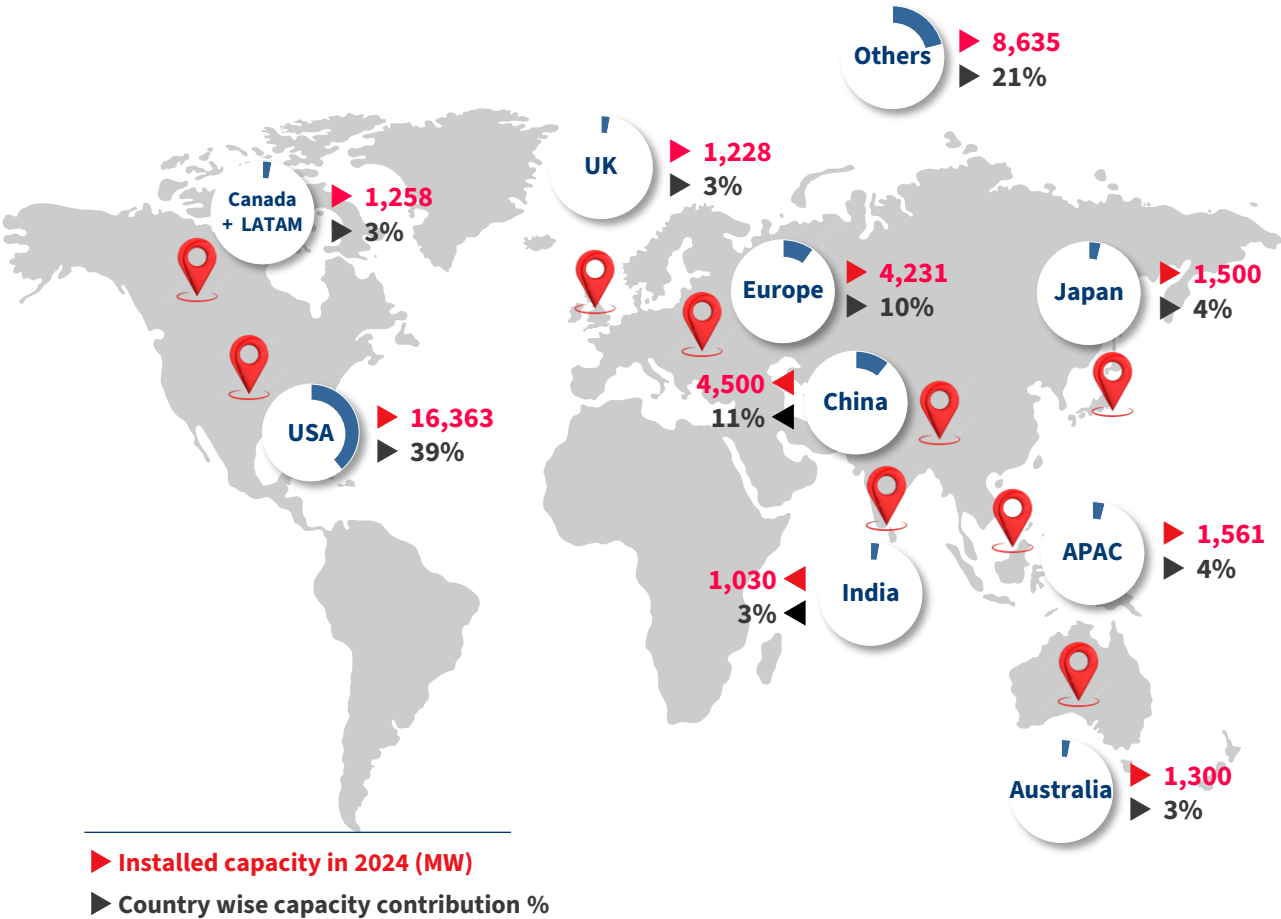
India is at fore front of AI adoption after USA & China

India's AI capacity growth will largely be led by Hyperscalars, AI data center capacity is expected to grow at 80% (2024 to 2027) & a further ~40% from 2027 to 2030



India holds only 3% of global data center capacity

India has 3% share of the global operational DC capacity with USA leading the pack followed by China



Majority of the Indian data is stored outside its territory due to higher usage of Hyperscaler services; Although 20% of global data demand is from India, only 3% is stored in India Data centers

CY2024	Mobile data consumption (EB/Month)	Mobile data consumption contribution %	Data Center Capacity (GW)	Data Center Capacity contribution %
Americas	15	12%	20	48%
EMEA	28	23%	9	23%
APAC ex India	54	44%	11	26%
India	25	21%	1	3%

Source: Cushman & Wakefield
MW- Megawatt, EMEA- Europe, Middle East & Africa, APAC- Asia Pacific. Details are as per latest data available

Source: Cushman & Wakefield, Ericsson

Indian regulators are pushing for data localisation



Data localization mandate for the payments sector made by the RBI, 2018

Mandate: RBI's 2018 directive required all payment data to be stored exclusively in India.

Impact: Triggered a surge in demand for domestic data center capacity, as firms scrambled to localize data.



SEBI mandate to all its regulated entities to store data in India, 2023

Mandate: SEBI required all regulated entities—stock exchanges, brokers, mutual funds, depositories, KYC agencies, etc.—to store and process data within India.

Objective: To ensure SEBI's unrestricted access, including search and seizure rights, even when entities adopt cloud services.



The Digital Personal Data Protection Act (DPDP), 2023

Objective: The Digital Personal Data Protection Act (DPDPA), 2023 governs the processing of digital personal data to protect individual privacy while enabling lawful use by organizations.

Key Provisions: Establishes clear obligations for data fiduciaries on collection, storage, and processing. Grants individuals rights to consent, access, correction, and erasure.

Data Localization: While it does not explicitly mandate localization, it empowers the government to restrict cross-border data transfers to specific countries. This creates implicit incentives for domestic data storage and processing.



Draft Data Center Policy 2020

Objective: India's Data Centre Policy 2020 supports the vision of a \$1 trillion digital economy.

Operational Benefits: Enhances ease of doing business, ensures reliable power and connectivity, and encourages domestic manufacturing of IT and power equipment.



Cloud adoption in Public Services in Sectors

Drivers: Legacy IT constraints and evolving privacy regulations are pushing government departments toward secure, scalable cloud platforms.

Procurement Framework: To simplify adoption, MeitY has empaneled 22 Cloud Service Providers on GeM, covering public, private, and community cloud models.



IndiaAI Mission

Mission: The IndiaAI Mission, supported by a ₹219 bn MeitY budget for FY25 (₹5 bn allocated for AI), targets building a \$1 trillion AI economy by 2035.

Impact: Expected to drive substantial demand for high-performance, scalable, and compliant cloud and data center infrastructure across India.

Various state governments are incentivizing data center capacity expansion

India has 3% share of the global operational DC capacity with USA leading the pack followed by China

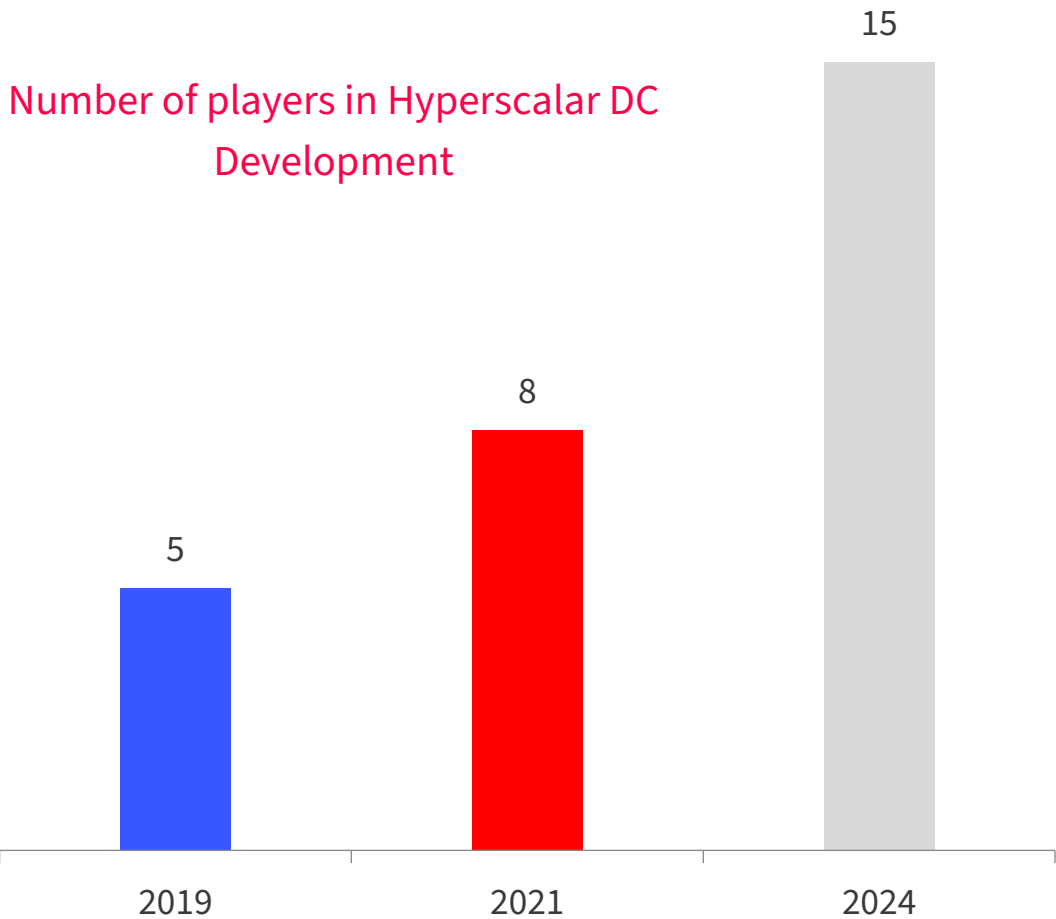
		Stamp duty exemption	Development/FSI related incentives	Capital Subsidy	Electricity duty exemption	Power Subsidy	Infra-structure Support	Tax Benefits	Green Incentives	Ease of approvals
West	Maharashtra	✓	✓		✓	✓	✓	✓	✓	✓
	Tamil Nadu	✓	✓	✓	✓	✓	✓		✓	✓
South	Telangana					✓	✓			
	Karnataka	✓	✓	✓	✓	✓	✓		✓	✓
		Stamp duty exemption	Development/FSI related incentives	Capital Subsidy	Electricity duty exemption	Power Subsidy	Infra-structure Support	Tax Benefits	Green Incentives	Ease of approvals
North	Haryana	✓	✓		✓	✓	✓	✓		✓
	Uttar Pradesh	✓	✓		✓		✓		✓	✓
Central										
East	West Bengal	✓	✓		✓		✓		✓	✓

Various state governments are incentivizing data center capacity expansion

State	Tamil Nadu	Uttar Pradesh	Telangana	West Bengal	Maharashtra
Policy Launch Year	2021	2021	2016	2021	2023
Power & Energy	100% subsidy on electricity duty; Dual Power Grid availability; Exemption of 50% on wheeling charges; Concessional open access charges	100% exemption on electricity duty; Dual Power Grid availability; Exemption of 50% on wheeling charges; 100% exemption on transmission charges; Open access availability	Electricity at cost of generation; Dual Power Grid availability; Renewable energy under open access; Subsidised fuel prices	Waiver on electricity duty; Dual Power Grid availability	Lifetime electricity duty exemption; Rs. 1/unit power subsidy for 5 years (outside Zone I); Open-access power allowed; Support for captive renewable energy
Infrastructure	Uninterrupted water supply; Special building regulations	Classified as Essential Services; Uninterrupted water supply; Special building norms	Separate Infrastructure Category; Access to high-speed internet and continuous water supply	Classified as Essential Services; Access to high-speed internet and continuous water supply; Special building norms	Classified as Infrastructure; MIDC to develop parks; Relaxed FSI/building rules; Residential property tax rates
Fiscal Incentives	50-100% stamp duty concession; 25-50% land subsidy for first 3 DC parks; 50% land subsidy in select districts	25-50% land subsidy for first 3 DC parks; 100% stamp duty exemption on first land transaction, 50% on second; 60% interest reimbursement; 7% capital subsidy up to Rs. 200mn (excluding land/building)	Land at subsidized cost by CCITI; Up to 50% building fee rebate by CCITI	100% exemption on stamp duty	100% exemption on stamp duty; Rs.1/unit tariff subsidy (Zone II); Lifetime electricity duty exemption; Residential property tax; Extra FSI; Green parks get additional land/infra benefits

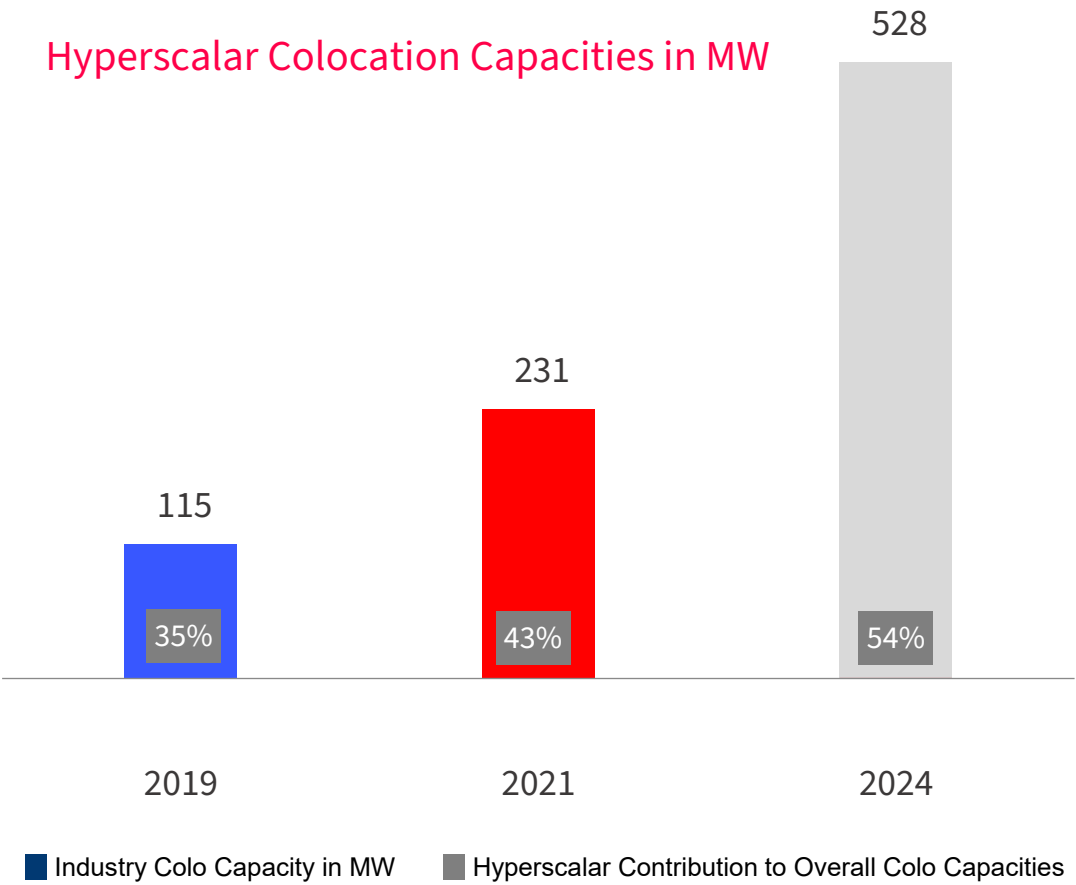
Significant growth in Hyperscalar colocation in India

Number of players in Hyperscalar DC development increased from 5 in 2019 to 15 in 2024 owing to burgeoning demand



Source: JLL
Details are as per latest data available.

DC capacity under colocation in India: 4x jump in colocation capacities leased to Hyperscalars in last five year

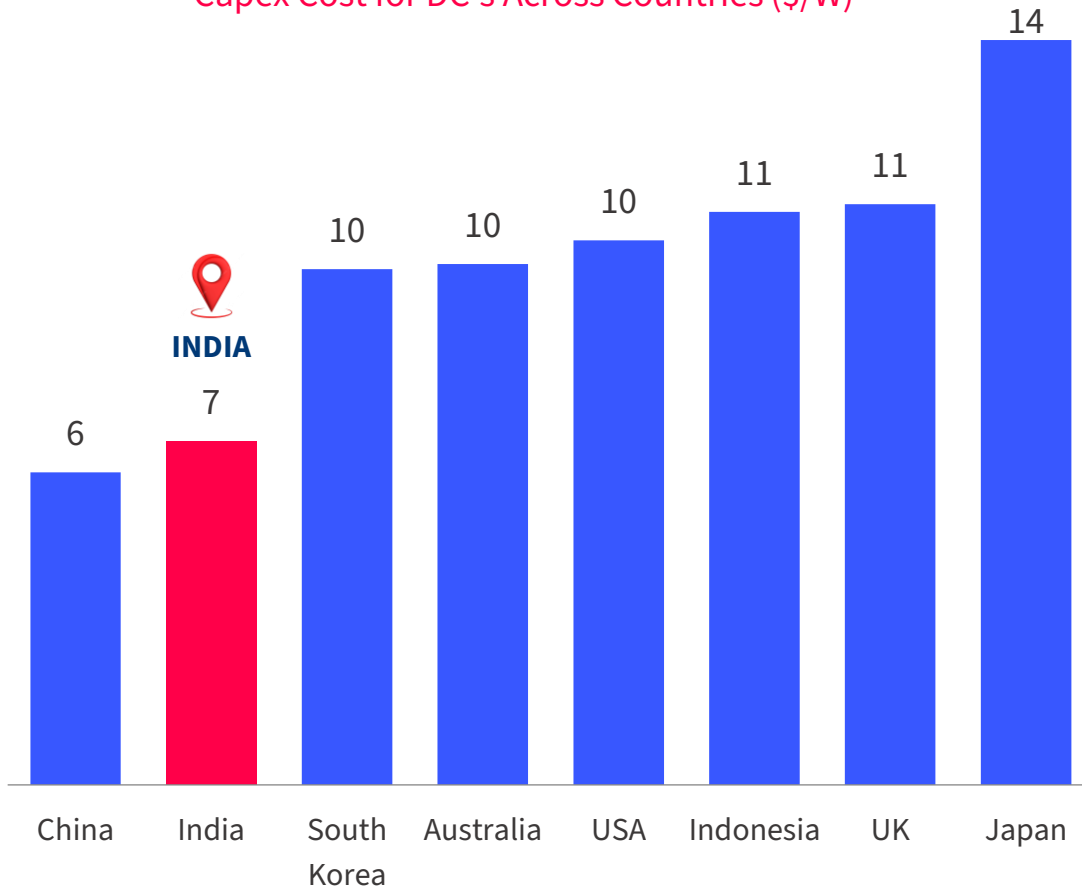


Source: JLL

DC set up cost is among the lowest in India

Data center development cost (\$/W) is one of the lowest in India at \$7/W with only China's cost being lower

Capex Cost for DC's Across Countries (\$/W)

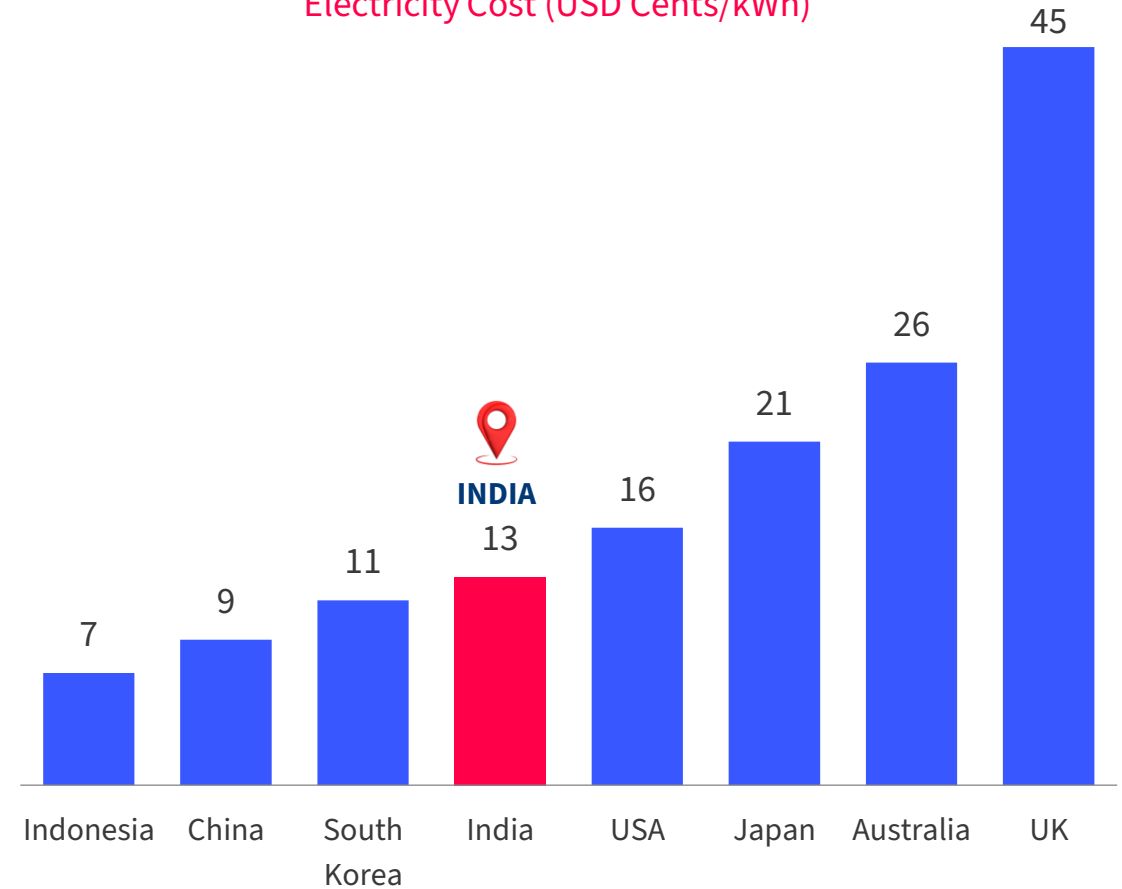


Source: Turner & Townsend

Details are as per latest data available. APAC stands for Asia Pacific , ASEAN: Association of South East Asian Nations

India's electricity cost is lower by 20% versus USA. Among APAC nations, ASEAN electricity cost is cheaper versus India

Electricity Cost (USD Cents/kWh)



Source: GlobalPetrolPrices

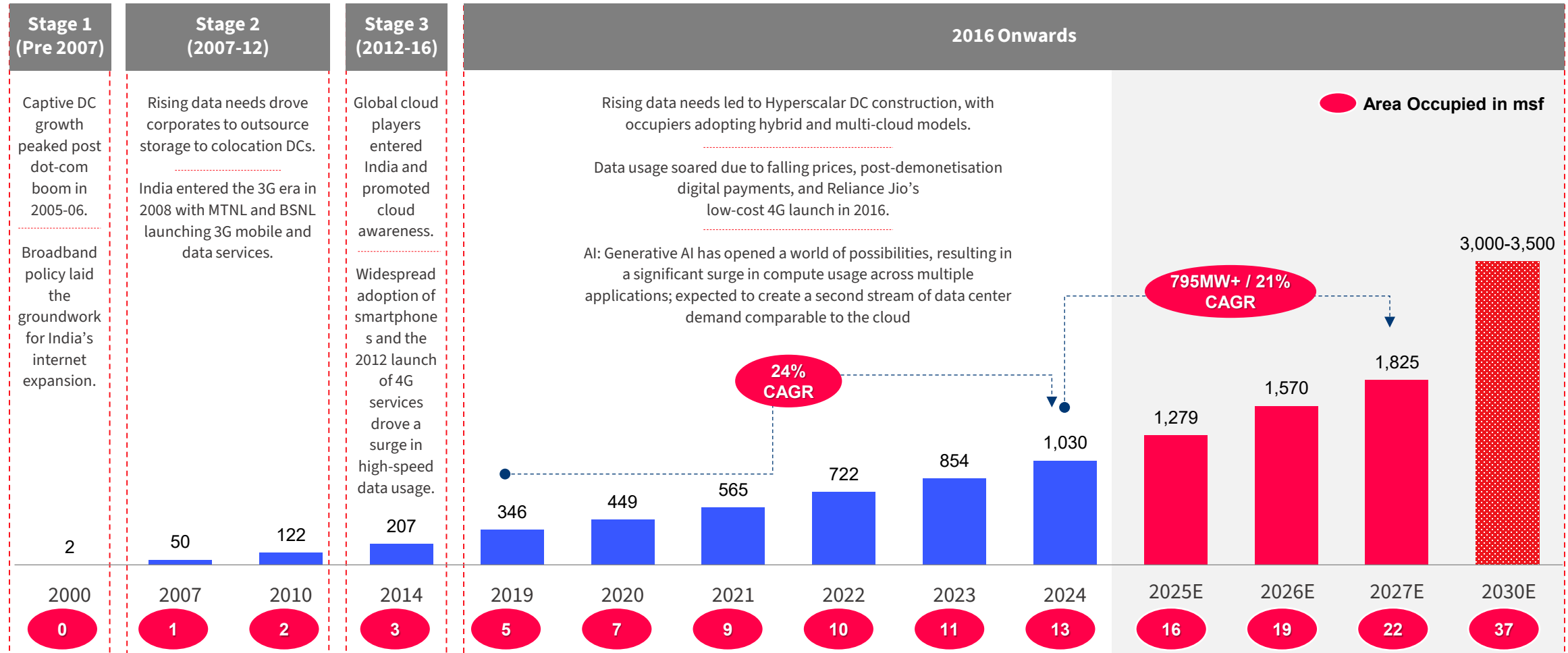


Supply Cycle Competitive Landscape

DC capacity is expected to nearly triple to 3GW by 2030

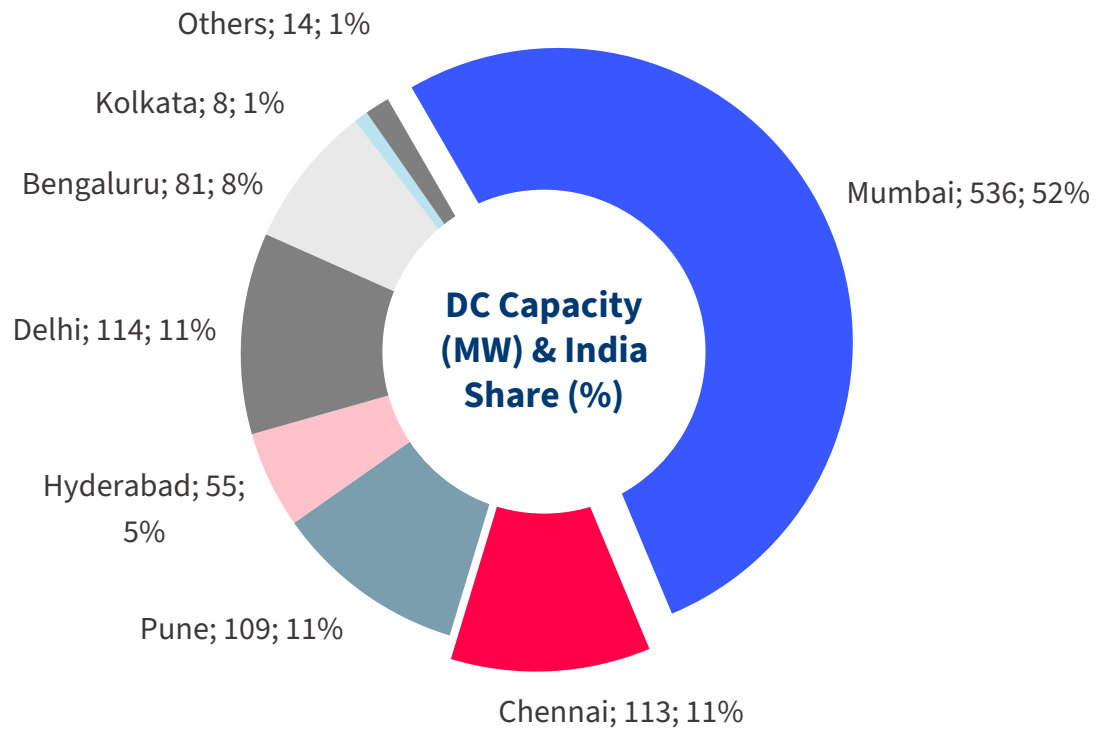
Since 2019, India's data center IT capacity has grown by 24%; This is projected to reach 3–3.5 GW by 2030

Third party (Colocation) DataCenter Capacity (MW)

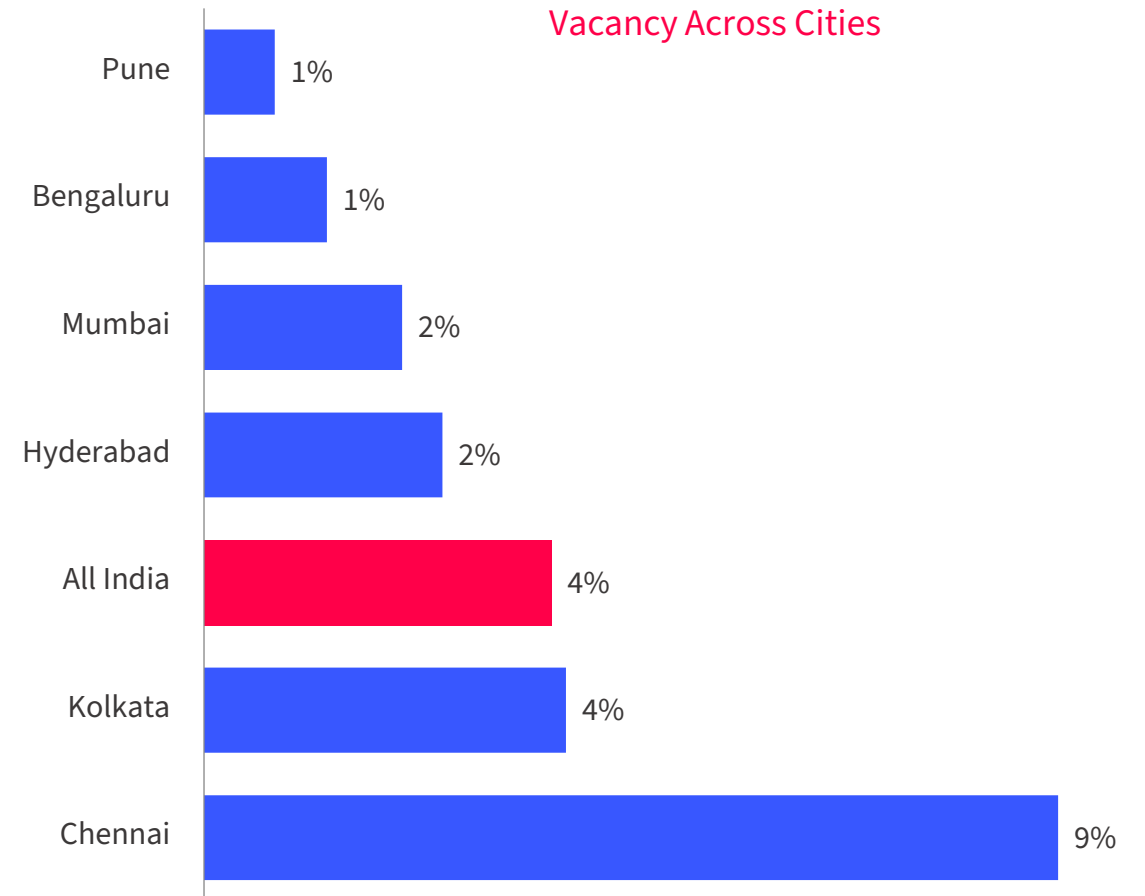


Mumbai & Chennai now account for ~65% of DC capacity

Highest capacity in Mumbai & Chennai largely due to sea landing cables and availability of uninterrupted power



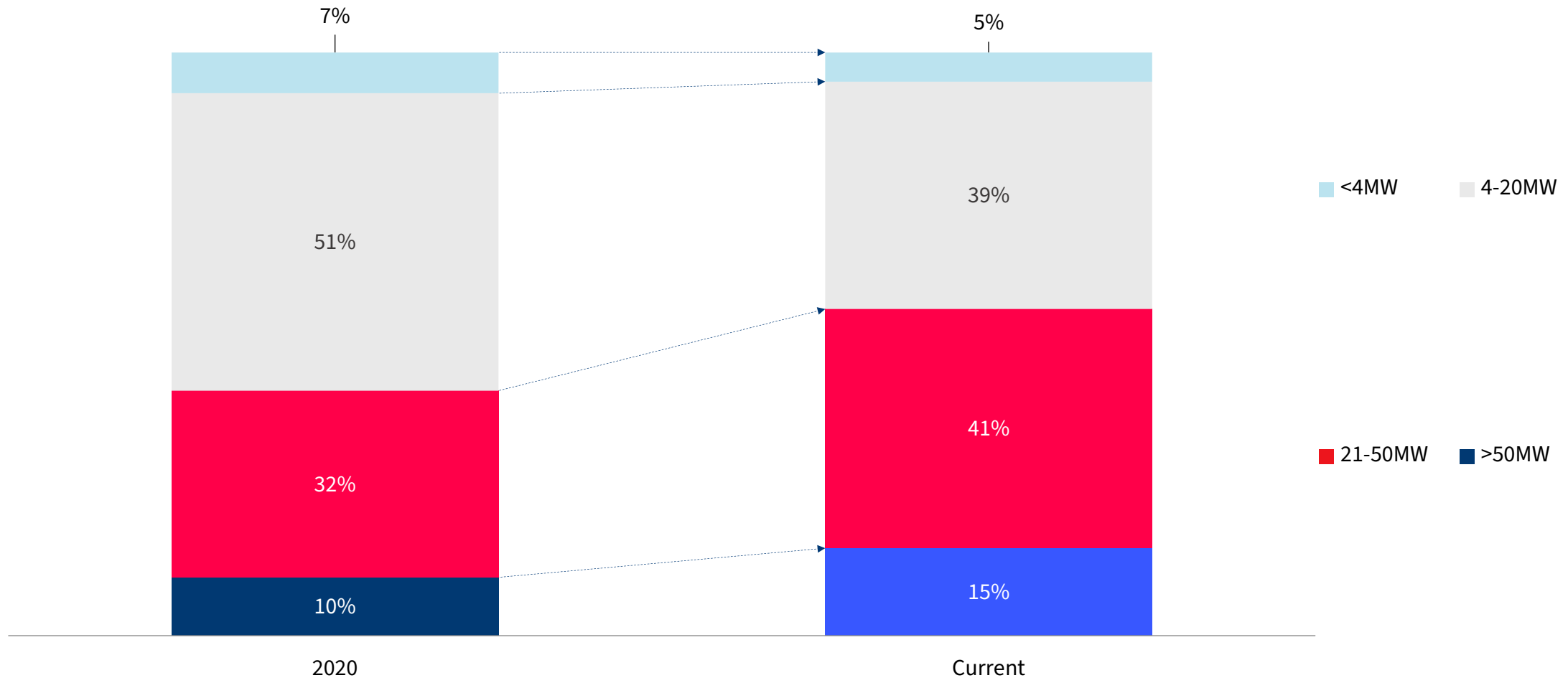
Chennai has the highest vacancy of 9%



Large-sized DCs are gaining higher share in the industry

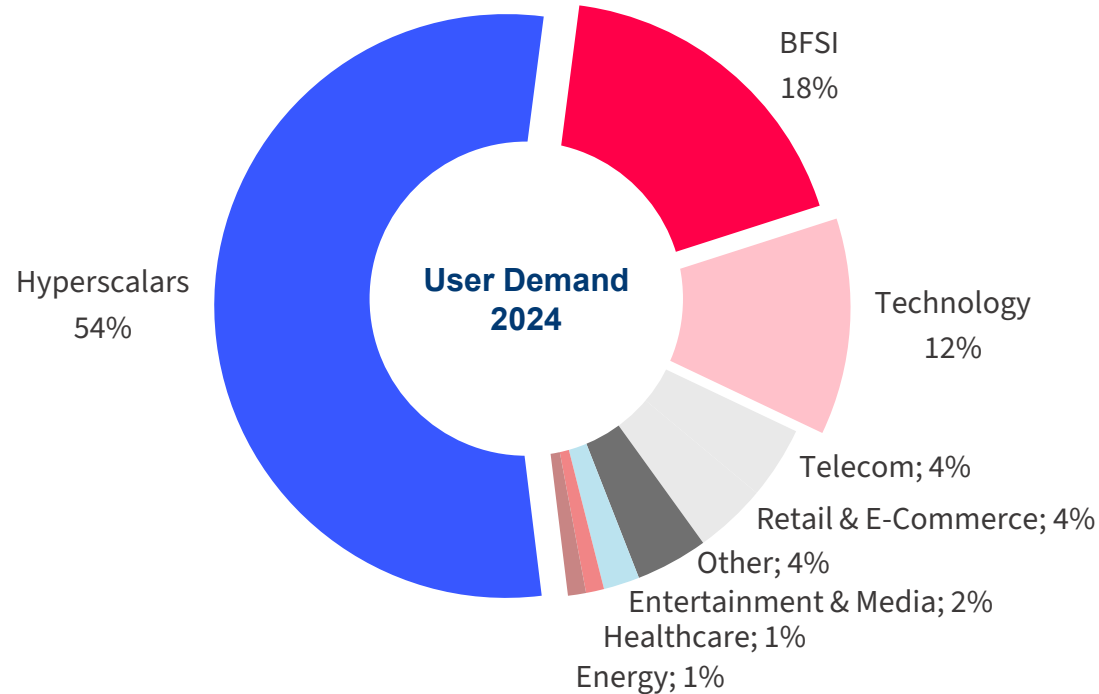
>20MW i.e., large-sized DCs accounted for 56% of the overall capacity across top cities versus 42% in 2020

Size-wise split of DC capacity across top cities in India



Hyperscalars account for ~54% of India's DC demand

Hyperscalars, BFSI & Technology accounted for 84% of demand in 2024 with the least demand coming from Entertainment, Healthcare & Energy

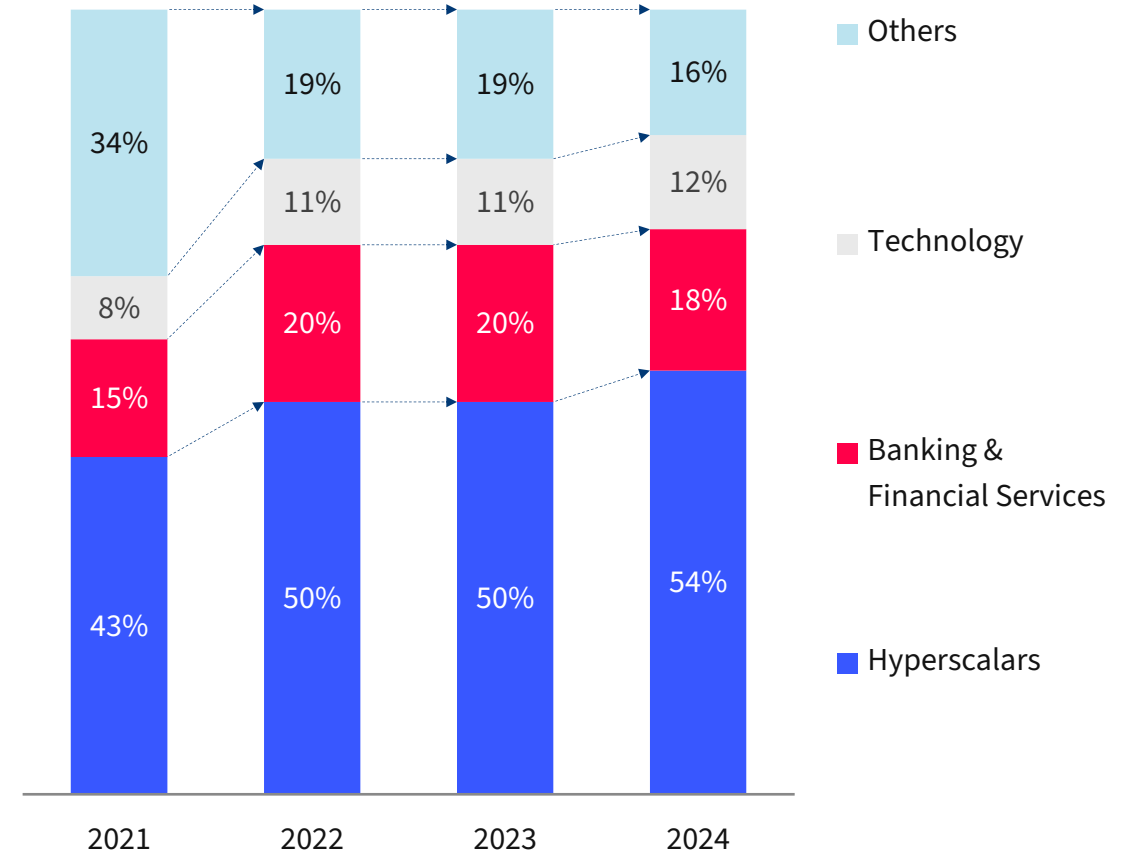


Source: JLL

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Hyperscalars witnessed the highest demand mix increase to 54% from 43% in 2021

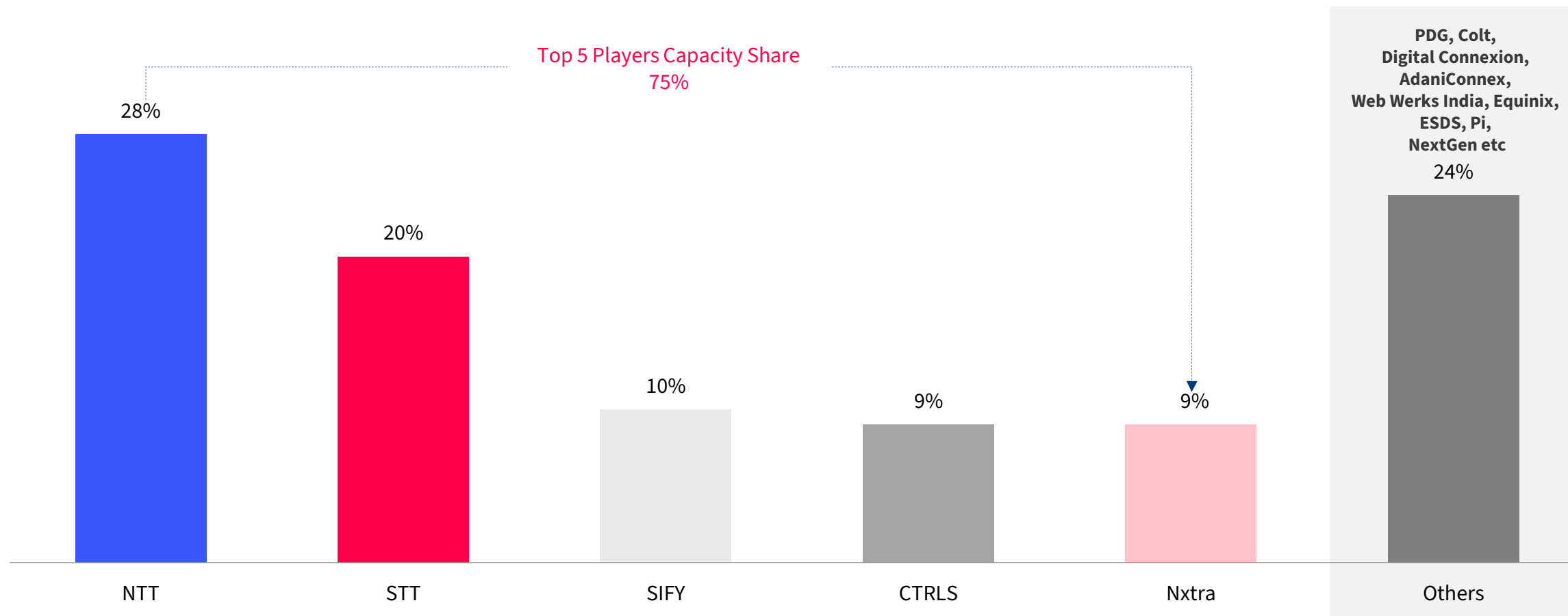
DC Capacity Demand



Source: JLL

Consolidated industry with top 5 players having 75% share

NTT & STT are the largest players accounting for ~50% of India's capacity. Top five players account for ~75% of the industry

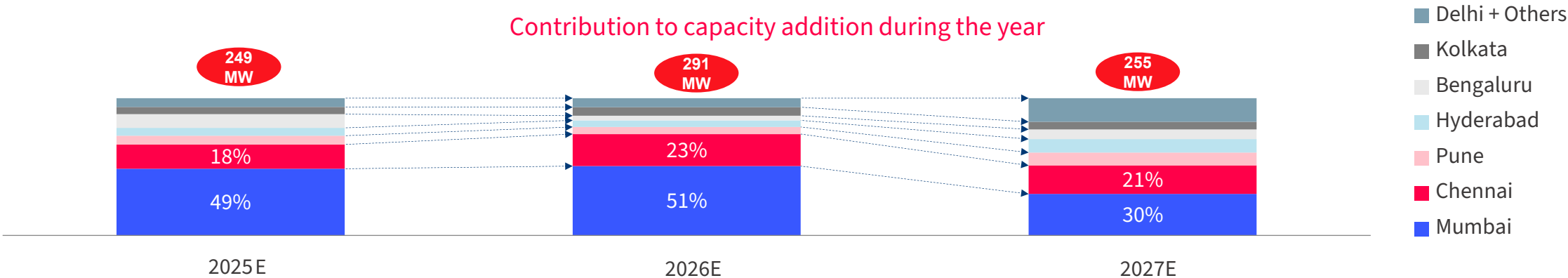


Source: Company, Industry. Details are as per latest data available. The stocks/sectors mentioned in this slide do not constitute any recommendation and Kotak Mahindra Mutual Fund may or may not have any future position in these sectors/stocks. Use of the company brand names does not imply any affiliation with or endorsement by them or any of its holding companies, subsidiaries or affiliates and are used for illustrative purpose only. NTT: NTT Global Data Centers, STT: STT Global Data Centers, SIFY: Sify Technologies, CTRLS: CtrlS Data Centers, Nxtra: Nxtra Data Limited

Significant interest from new players to set up DC capacity in India

Upcoming DC capacities would be outside Mumbai and Chennai, with these cities annual contribution declining from 65% in 2024 to 50% in 2027

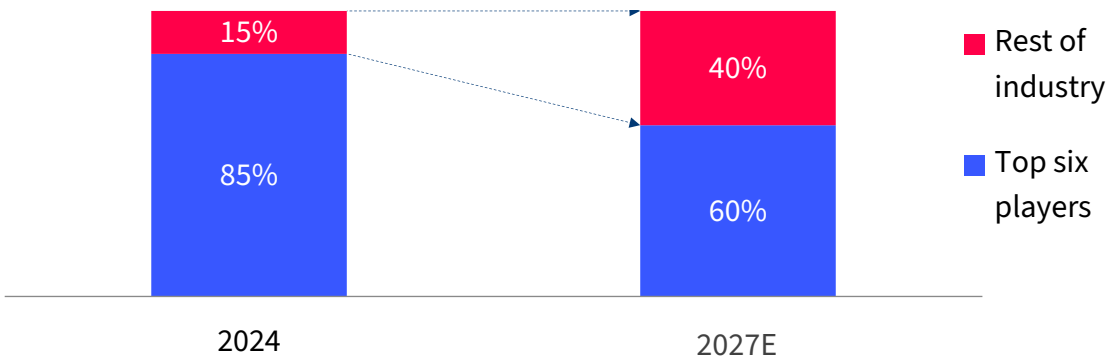
Contribution to capacity addition during the year



Source: JLL

Supply announcements by new players to result in capacity share of top six players declining to 60% by 2027E versus 85% currently

India Datacenter capacity share



Source: CBRE. Details are as per latest data available.

Strong visibility on leasing from Hyperscalars for upcoming supply

Metric	Value
Total upcoming DC capacity (2025–27)	~1,000–1,200 MW
Leased/Pre-committed by Hyperscalars	~600–700 MW
% of upcoming supply	50–60%

Source: JLL

Business models - colocation, cloud & managed services

Various business models to play Data Center growth story

1. **Colocation** is a stable, yield-driven segment backed by long-term contracts with enterprises and Hyperscalars.
2. **Cloud infrastructure** is capital intensive but offers scalable RoI as utilization improves and services deepen.

3. **Managed services** provide an asset-light, high-margin, annuity-like revenue stream by layering value-added offerings on top of existing infrastructure.
4. **Edge data centers** present a high-yield, high-IRR opportunity in Tier-2/3 cities, driven by latency-sensitive workloads like CDN, gaming, and 5G.

Enterprises (Retail)

1

Rental for rack space, power consumption, and cooling; typically rented by Small to mid-size businesses, startups, SaaS firms, Banks - Short tenor of 3-5 years

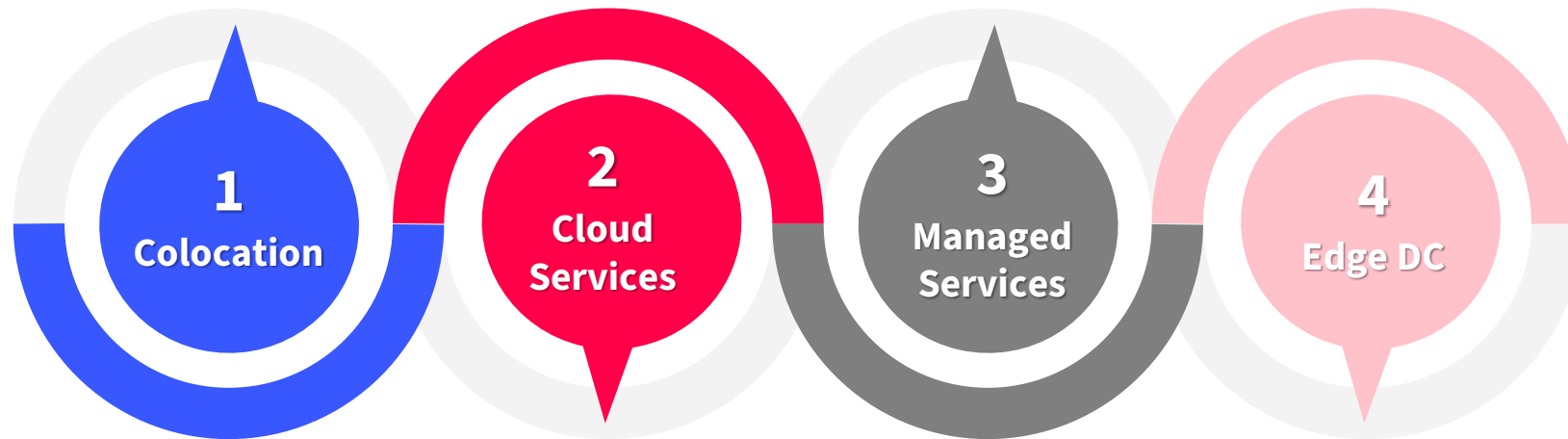
Hyperscaler (Wholesale)

Rented by Hyperscalars, cloud providers, large enterprises having requirement of >250KW-1MW; Long tenor of 5-10 years;

Traditional IT services offering to enterprises (PaaS)

3

Outsourced IT operations and support functions offered on top of core colocation or cloud infrastructure. These services reduce the customer's need to manage their own hardware, networks, and data security, while ensuring 24x7 uptime, compliance, and operational efficiency



2

Offered by DCs to SMEs (IaaS)

Offer customers access to virtualized computing resources — like VMs, storage, and network — using flexible pricing models (Subscription and Pay as you go based model)

4

VMs and services at edge nodes for latency-sensitive workloads

Small-scale facility (100KW to 2MW) located closer to end users or devices to reduce latency and improve performance. Primary function such as localized processing, caching, and connectivity needs — typically within metro cities, industrial zones, or Tier 2/3 regions. Pricing based on rack per month or power used per month etc

Comparison of different DC business models

	Colocation	Cloud Infra	IaaS/PaaS	Managed Services
Description	Rent out rack space, power, cooling (bare shell)	Build and sell bare-metal compute/storage/networking layers	Offer virtualized compute/storage with orchestration and billing (IaaS) or Prebuilt environments (DB, analytics, container mgmt, APIs, DevOps)	End-to-end IT mgmt (monitoring, backup, OS, security, compliance)
Revenue Model	Fixed rentals (Rs/MW/month)	Usage-based (VM/hr, TB/month)	Elastic billing (per vCPU, RAM, storage), Subscription for PaaS	Subscription/AMC/project-based
Strategic Value	Infra monetization, REIT yield play	Build scalable digital infra, asset monetization	Compete with public cloud, private cloud offerings	Compete with IT services companies
Capital intensity	High	Very High	NA	NA
Capex per MW	Rs.500-600mn	Rs.800mn-1bn	NA	NA
Max Annual Revenue per MW	Rs.80-100mn	Rs.500-800mn	20-30% higher than Cloud services	30-40% higher than Cloud services
EBITDA Margins %	60-70% (ex electricity passthrough)	30-40%	40-50%	25-30%
Payback period	10-12 years	4-5 years	NA	NA
RoE metrics	Stable, low-risk yield (10-15%)	Moderate (20-25%)	Moderate (20-25%)	Highest (25-30%)
Key risk	High capex, Leasing risk, Rental pressure due to oversupply	Technological Obsolescence in server, High capex and underutilisation, In-house DC; Strict Security requirements	Margin pressure from Hyperscalars, Scale disadvantage, Fast changing tech and integration complexity	Hyper-competition, In-house operations, Human Resource intensive

Pro forma P&L structure of data center players

P&L for Colocation DataCenter

	% of Revenue	Remarks
Revenue	100%	
Cost	30-40%	
Electricity cost	Pass through	▪ Electricity costs for servers, cooling, UPS, and lighting, Backup power
Cooling cost	10%	▪ Consumables, Servicing, AMC
Network & Bandwidth	7%	▪ Internet Service Provider (ISP) costs, cross connect fees, fibre optics
Maintenance & AMC	5%	▪ AMC charges for hardware, HVAC, UPS, and generators, spare parts and hardware replacement cost
Workforce & Staffing	5%	▪ Salaries and training cost
Security (physical and cyber)	3%	▪ Cameras, Anti-virus, Patches
Cloud & Software Costs (For cloud services model)	3%	▪ Licensing feed or any other automation software
Additional Cost Factors	2%	▪ Compliance certifications, Disaster Recovery & Backup, upgrades
EBITDA	60-70%	

Source: Industry, Avendus Spark. Details as per latest data available.

P&L for Cloud DataCenter

	% of Revenue	Remarks
Revenue	100%	▪ 4-5x of colocation revenues
Cost	50-60%	
Colocation rentals	10%	▪ Cloud players pay to colocation players
Power cost	12%	▪ PUE of 1.5x, Pass through from colocation player
Network cost	11%	▪ Mostly pass through
Software stack cost	10%	▪ Licensing
Employee cost	7%	▪ Salaries and training cost
Misc.(customer ops, infra srvcies)	10%	
EBITDA	40-50%	

Source: Industry, Avendus Spark

Pro forma IRR and return metrics

Business Model	Colocation	Cloud Services	Remarks
Capex required for Greenfield Colocation and Cloud DC; Brownfield capex cost is much lower; Incentives such as capital subsidy and electricity improve return metrics further			
Capacity	1MW	1MW	
Capex in Rs.mn	500	800	■ Cloud capex is higher by 50-60% versus Colocation capex
Debt funding	60%	60%	
Debt in Rs.mn	300	480	■ Debt to Equity ratio of 60:40; Low cost of debt available
Equity in Rs.mn	200	320	
Return metrics potential for Colocation and Cloud			
Potential revenue at 90% occupancy in Rs.mn	81	542	■ Colocation revenue with pricing of Rs.7500 /KW/month; Cloud revenue is 5-6x of Colocation revenues; Rental growth of 3-4% annually
EBITDA margins	75%	45%	■ EBITDA margins in both models assuming electricity pass through in colocation
EBITDA in Rs.mn	61	244	
Depreciation	25	120	■ Depreciation for colocation at 15-20 years (Lower MEP, higher for building/structure) Servers for Cloud services in 5-6 years
EBIT in Rs.mn	35	124	
Interest	27	43	■ Interest rate of 9-10%
PBT	8	81	
PAT	6	61	
Pre-tax Yield on Investment (EBITDA to Capex)	12%	29%	■ Colocation is Yield play with pre tax yield of 10-12%
Return on Equity %	3%	~20%	■ RoE of 20% in cloud business.

Source: Industry, Avendus Spark. Details are as per latest data available. The stocks/sectors mentioned in this slide do not constitute any recommendation and Kotak Mahindra Mutual Fund may or may not have any future position in these sectors/stocks. Use of the company brand names does not imply any affiliation with or endorsement by them or any of its holding companies, subsidiaries or affiliates and are used for illustrative purpose only.

There may be some risk factors around projected returns



High Capital Spend

- ~\$400B projected spend in 2025
- Heavy upfront investment vs. slower revenue realization



Rapid Depreciation

- Buildings: ~30 yrs
Infrastructure: ~10 yrs
GPUs: 3–5 yrs
- ~\$40B annual depreciation vs. ~\$15–20B revenue



Obsolescence Risk

- Fast tech cycles lead to frequent reinvestment
- Assets may become outdated quickly



Complex Cost Structure

- 25% Land & Buildings
40% Power & Cooling
35% GPUs
- Mixed lifespans complicate ROI



Bubble-like Behaviour

- Overbuilding driven by investor FOMO
- Echoes past tech busts like Global Crossing

Global valuations

There are currently no listed Indian players, the below snapshot is for globally listed DCs
DC (Colocation and Cloud) companies trade at 20-22x EV/EBITDA on 1-year forward basis; Median EV/EBITDA valuation of 15-20x

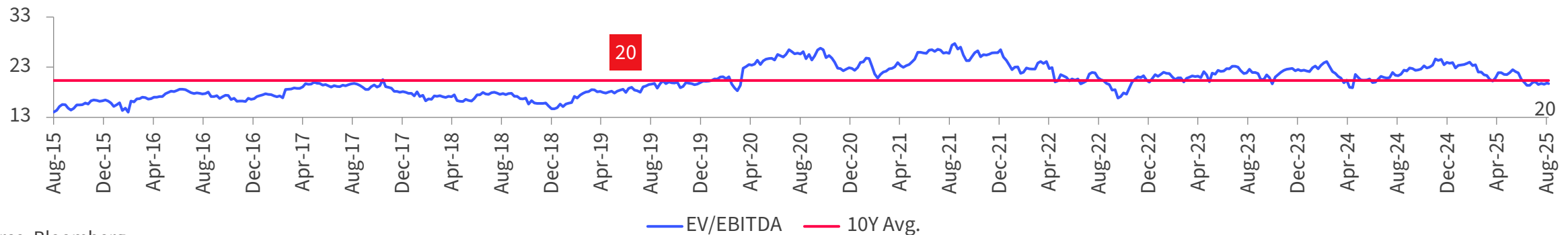
Company	Business description	Mkt Cap (US\$bn)	EV (US\$bn)	Sales			EBITDA			Net debt to EBITDA (CY24)	EV/EBITDA (x)		
				CY24	CY25E	CY26E	CY24	CY25E	CY26E		CY24	CY25E	CY26E
Equinix Inc (\$)	Colocation	76	93	8,748	9,252	10,013	3,566	4,546	4,980	4.3	26.2	20.5	18.7
Digital Realty Trust (\$)	Data center REIT	57	74	5,592	5,975	6,658	2,934	3,253	3,582	5.5	25.4	22.9	20.8
Keppel DC REIT (SGD)	Global DC REIT in Singapore	5	7	293	410	430	221	309	328	5.2	29.9	21.3	20.1
GDS Holdings (CNY)	High performance data center solution provider in China	7	11	11,297	11,498	13,063	4,930	5,314	5,933	6.3	17.2	15.9	14.3
Next DC (AUD)	Develops & operates Data Centers in Australia	9	10	411	431	500	197	216	235	1.8	49.2	44.9	41.2

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Global valuations- DC (colocation and cloud) companies trade at 20-22x EV/EBITDA on 1-year forward basis

Equinix- Largest DC company trades at 20x EV/EBITDA (1-year forward)

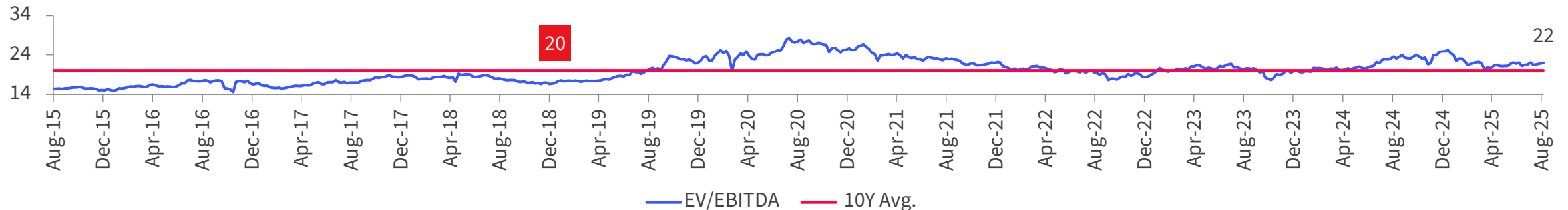
Equinix



Source: Bloomberg

Keppel DC is Singapore listed DC company trades at 22x EV/EBITDA (1-year forward)

Keppel DC

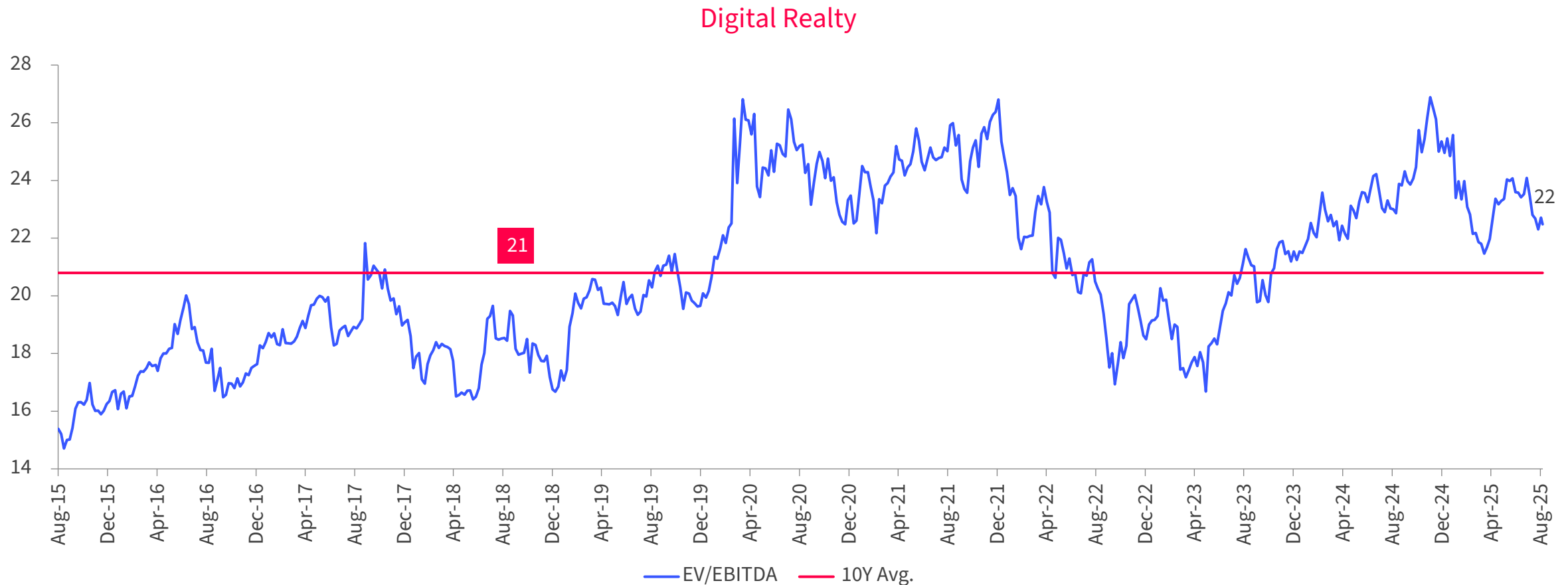


Source: Bloomberg

Data as on Aug-25. The stocks/sectors mentioned in this slide do not constitute any recommendation and Kotak Mahindra Mutual Fund may or may not have any future position in these sectors/stocks. Use of the company brand names does not imply any affiliation with or endorsement by them or any of its holding companies, subsidiaries or affiliates and are used for illustrative purpose only.

Global valuations- DC (colocation and cloud) companies trade at 20-22x EV/EBITDA on 1-year forward basis

Digital Realty – The 2nd Largest DC company trades at 22x EV/EBITDA (1-year forward)



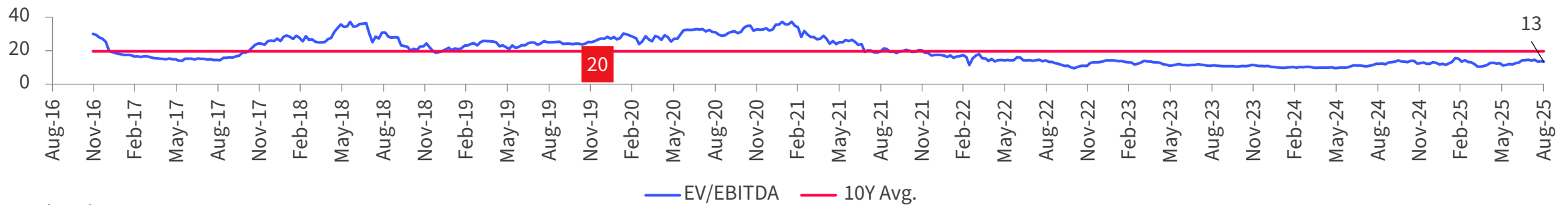
Source: Bloomberg

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Global valuations- DC (colocation and cloud) companies with regional presence trade at different valuation versus global DC operators

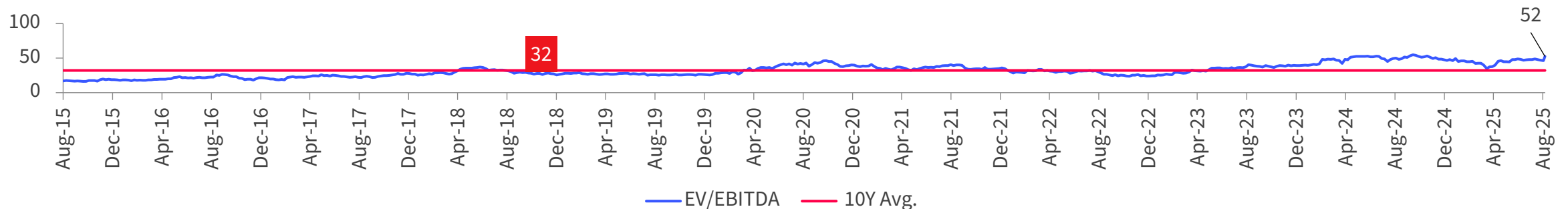
GDS DC has its presence in HK, SG & SEA; Although its historical average was in-line with global DCs, recently it has been trading at 13-15x EV/EBITDA (1-year forward)

GDC DC



Next DC which has its presence only in Australia trades is currently trading at 52x EV/EBTIDA (1-year forward) i.e., higher than global peers

Next DC



Source: Bloomberg

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Global data center – stock performance of prominent listed DC players

Company name	1Y% Change	2Y% Change	3Y% Change	5Y% Change	10Y% Change
Global X DC and Digital infrastructure ETF	18	45	21	27	NA
Equinix	-5	4	11	-1	186
Keppel DC REIT	13	13	17	-20	137
Digital Realty Trust	10	37	27	7	151
GDS Holdings	130	234	26	-57	239
Next DC	-19	13	29	26	471

Source: Bloomberg

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Investors may consult their financial expert before making any investment decision.

Mutual Fund investments are subject to market risks, read all scheme related documents carefully.

A digital illustration of a server room. On the left and right are rows of server racks filled with glowing components. The floor is dark and reflective, with glowing blue and orange circuit-like lines extending from a central point towards the viewer. In the background, a large, glowing blue cloud shape is composed of many small stars or data points. Vertical lines connect the base of the cloud to the circuit lines on the floor. The ceiling is dark with several recessed rectangular light fixtures and a string of small, warm-toned lights along the edge.

Thank You

MUTUAL FUND INVESTMENTS ARE SUBJECT TO MARKET RISKS, READ ALL
SCHEME RELATED DOCUMENTS CAREFULLY.